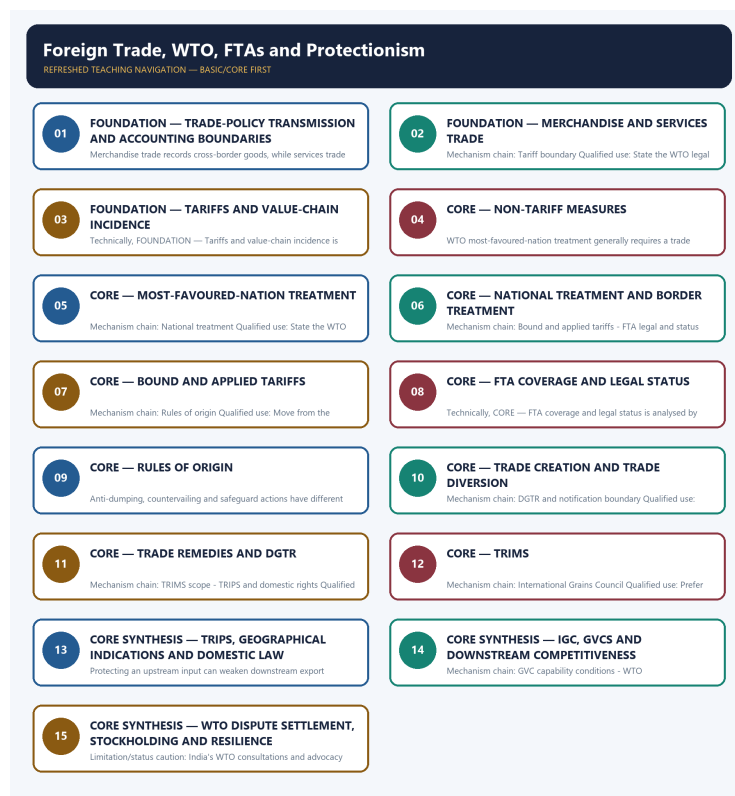


COMPLETE LEARNING SESSION

Foreign Trade, WTO, FTAs and Protectionism - Learner-v2 Refreshed

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Foreign Trade, WTO, FTAs and Protectionism - Learner-v2 Complete Learning Session	6
SOURCE, PROGRESSION AND CURRENT-LINKAGE AUDIT	6
LIVE OFFICIAL-SOURCE ATTEMPT LOG	6
BASIC LEARNING SESSION	6
DEEP-REVIEW LEARNING CONTRACT	6
EVIDENCE, PYQ AND CURRENT-STATUS CONTROL	7
SESSION 1 - FOUNDATION - TRADE-POLICY TRANSMISSION AND ACCOUNTING BOUNDARIES	8
SESSION 2 - FOUNDATION - MERCHANDISE AND SERVICES TRADE	10
SESSION 3 - FOUNDATION - TARIFFS AND VALUE-CHAIN INCIDENCE	11
SESSION 4 - CORE - NON-TARIFF MEASURES	13
SESSION 5 - CORE - MOST-FAVOURED-NATION TREATMENT	14
SESSION 6 - CORE - NATIONAL TREATMENT AND BORDER TREATMENT	16
SESSION 7 - CORE - BOUND AND APPLIED TARIFFS	18
SESSION 8 - CORE - FTA COVERAGE AND LEGAL STATUS	19
SESSION 9 - CORE - RULES OF ORIGIN	20
SESSION 10 - CORE - TRADE CREATION AND TRADE DIVERSION	22
SESSION 11 - CORE - TRADE REMEDIES AND DGTR	23
SESSION 12 - CORE - TRIMS	25
SESSION 13 - CORE SYNTHESIS - TRIPS, GEOGRAPHICAL INDICATIONS AND DOMESTIC LAW	26
SESSION 14 - CORE SYNTHESIS - IGC, GVCS AND DOWNSTREAM COMPETITIVENESS	28
SESSION 15 - CORE SYNTHESIS - WTO DISPUTE SETTLEMENT, STOCKHOLDING AND RESILIENCE	29
ECONOMY DEEP-REVIEW CORE CONTROL	41
BASIC MCQS / REMEDIATION	41
Q1. Which statement correctly identifies Trade-policy transmission?	41
Q2. Which option preserves the accounting or regulatory boundary of Trade-policy transmission?	42
Q3. Which statement uses Trade-policy transmission without losing its vintage, basket or legal status?	42
Q4. Which option avoids the standard UPSC close-option trap about Trade-policy transmission?	42
Q5. Which statement correctly identifies Merchandise and services boundary?	42
Q6. Which option preserves the accounting or regulatory boundary of Merchandise and services boundary?	43

Q7. Which statement uses Merchandise and services boundary without losing its vintage, basket or legal status?	43
Q8. Which option avoids the standard UPSC close-option trap about Merchandise and services boundary?	43
Q9. Which statement correctly identifies Tariff boundary?	43
Q10. Which option preserves the accounting or regulatory boundary of Tariff boundary?	44
Q11. Which statement uses Tariff boundary without losing its vintage, basket or legal status?	44
Q12. Which option avoids the standard UPSC close-option trap about Tariff boundary?	44
Q13. Which statement correctly identifies Non-tariff measure boundary?	44
Q14. Which option preserves the accounting or regulatory boundary of Non-tariff measure boundary?	45
Q15. Which statement uses Non-tariff measure boundary without losing its vintage, basket or legal status?	45
Q16. Which option avoids the standard UPSC close-option trap about Non-tariff measure boundary?	45
Q17. Which statement correctly identifies MFN treatment?	45
Q18. Which option preserves the accounting or regulatory boundary of MFN treatment?	46
Q19. Which statement uses MFN treatment without losing its vintage, basket or legal status?	46
Q20. Which option avoids the standard UPSC close-option trap about MFN treatment?	46
Q21. Which statement correctly identifies National treatment?	46
Q22. Which option preserves the accounting or regulatory boundary of National treatment?	47
Q23. Which statement uses National treatment without losing its vintage, basket or legal status?	47
Q24. Which option avoids the standard UPSC close-option trap about National treatment?	47
Q25. Which statement correctly identifies Bound and applied tariffs?	47
Q26. Which option preserves the accounting or regulatory boundary of Bound and applied tariffs?	48
Q27. Which statement uses Bound and applied tariffs without losing its vintage, basket or legal status?	48
Q28. Which option avoids the standard UPSC close-option trap about Bound and applied tariffs?	48
Q29. Which statement correctly identifies FTA legal and status boundary?	48
Q30. Which option preserves the accounting or regulatory boundary of FTA legal and status boundary?	49
Q31. Which statement uses FTA legal and status boundary without losing its vintage, basket or legal status?	49
Q32. Which option avoids the standard UPSC close-option trap about FTA legal and status boundary?	49
Q33. Which statement correctly identifies Rules of origin?	49
Q34. Which option preserves the accounting or regulatory boundary of Rules of origin?	50
Q35. Which statement uses Rules of origin without losing its vintage, basket or legal status?	50
Q36. Which option avoids the standard UPSC close-option trap about Rules of origin?	50
Q37. Which statement correctly identifies Trade creation and diversion?	50
Q38. Which option preserves the accounting or regulatory boundary of Trade creation and diversion?	51

Q39. Which statement uses Trade creation and diversion without losing its vintage, basket or legal status?	51
Q40. Which option avoids the standard UPSC close-option trap about Trade creation and diversion?	51
Q41. Which statement correctly identifies Trade-remedy categories?	51
Q42. Which option preserves the accounting or regulatory boundary of Trade-remedy categories?	52
Q43. Which statement uses Trade-remedy categories without losing its vintage, basket or legal status?	52
Q44. Which option avoids the standard UPSC close-option trap about Trade-remedy categories?	52
Q45. Which statement correctly identifies DGTR and notification boundary?	53
Q46. Which option preserves the accounting or regulatory boundary of DGTR and notification boundary?	53
Q47. Which statement uses DGTR and notification boundary without losing its vintage, basket or legal status?	53
Q48. Which option avoids the standard UPSC close-option trap about DGTR and notification boundary?	53
Q49. Which statement correctly identifies TRIMS scope?	54
Q50. Which option preserves the accounting or regulatory boundary of TRIMS scope?	54
Q51. Which statement uses TRIMS scope without losing its vintage, basket or legal status?	54
Q52. Which option avoids the standard UPSC close-option trap about TRIMS scope?	54
Q53. Which statement correctly identifies TRIPS and domestic rights?	55
Q54. Which option preserves the accounting or regulatory boundary of TRIPS and domestic rights?	55
Q55. Which statement uses TRIPS and domestic rights without losing its vintage, basket or legal status?	55
Q56. Which option avoids the standard UPSC close-option trap about TRIPS and domestic rights?	56
Q57. Which statement correctly identifies International Grains Council?	56
Q58. Which option preserves the accounting or regulatory boundary of International Grains Council?	56
Q59. Which statement uses International Grains Council without losing its vintage, basket or legal status?	56
Q60. Which option avoids the standard UPSC close-option trap about International Grains Council?	57
Q61. Which statement correctly identifies Protection and downstream competitiveness?	57
Q62. Which option preserves the accounting or regulatory boundary of Protection and downstream competitiveness?	57
Q63. Which statement uses Protection and downstream competitiveness without losing its vintage, basket or legal status?	58
Q64. Which option avoids the standard UPSC close-option trap about Protection and downstream competitiveness?	58
Q65. Which statement correctly identifies GVC capability conditions?	58
Q66. Which option preserves the accounting or regulatory boundary of GVC capability conditions?	58
Q67. Which statement uses GVC capability conditions without losing its vintage, basket or legal status?	59
Q68. Which option avoids the standard UPSC close-option trap about GVC capability conditions?	59
Q69. Which statement correctly identifies WTO dispute-settlement status?	59
Q70. Which option preserves the accounting or regulatory boundary of WTO dispute-settlement status?	59

Q71. Which statement uses WTO dispute-settlement status without losing its vintage, basket or legal status?	60
Q72. Which option avoids the standard UPSC close-option trap about WTO dispute-settlement status?	60
Q73. Which statement correctly identifies Public stockholding boundary?	60
Q74. Which option preserves the accounting or regulatory boundary of Public stockholding boundary?	60
Q75. Which statement uses Public stockholding boundary without losing its vintage, basket or legal status?	61
Q76. Which option avoids the standard UPSC close-option trap about Public stockholding boundary?	61
Q77. Which statement correctly identifies Resilience versus autarky?	61
Q78. Which option preserves the accounting or regulatory boundary of Resilience versus autarky?	62
Q79. Which statement uses Resilience versus autarky without losing its vintage, basket or legal status?	62
Q80. Which option avoids the standard UPSC close-option trap about Resilience versus autarky?	62
PYQS AND ANSWER PRACTICE	62
VERIFIED PYQ OWNERSHIP AUDIT	62
OWNER PYQ LEDGER EXTRACTS	63
PYQ DEMAND CARD 1 - 2018 GS-III	66
PYQ DEMAND CARD 2 - 2025 GS-III	68
ORIGINAL MAINS 1 - 10 MARKS	69
ORIGINAL MAINS 2 - 10 MARKS	71
ORIGINAL MAINS 3 - 15 MARKS	74
ORIGINAL MAINS 4 - 15 MARKS	76
ORIGINAL MAINS 5 - 20 MARKS	78
ORIGINAL MAINS 6 - 20 MARKS	82
OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER	87
CONSOLIDATED REGISTER NOTES	91
Foreign Trade, WTO, FTAs and Protectionism: RAPID CONCEPT, INSTITUTION AND STATUS MAP	91
Foreign Trade, WTO, FTAs and Protectionism: SCOPE, ELIGIBILITY, STOCK-FLOW AND IMPLEMENTATION TRAPS	92
Foreign Trade, WTO, FTAs and Protectionism: ANSWER-WRITING SPINE	92
Foreign Trade, WTO, FTAs and Protectionism: LIVE-SOURCE, VINTAGE AND EVIDENCE BOUNDARY	92
COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM	92

Foreign Trade, WTO, FTAs and Protectionism - Learner-v2

Complete Learning Session

Authoring-only generation: 2026-09-03. No PDF was rendered and no tracker or index was mutated.

SOURCE, PROGRESSION AND CURRENT-LINKAGE AUDIT

- **Generation date:** 2026-09-03.
- **Repository-first evidence:** the Basic owner is taught first and preserved in full; the Advanced owner is retained only in the optional final teaching block.
- **OCR evidence:** Repository Markdown was primary. OCR-searchable local official General Studies papers were used only to confirm printed routed demands. No answer key, marking scheme, unsupported page precision or current macroeconomic statistic was inferred from them.
- **Qdrant:** not used; repository Markdown and available OCR context were sufficient.
- **PYQ integrity:** Audited ledgers route the 2018 and 2025 GS-III protectionism demands and objective demands on edible oils, geographical indications, merchandise/services trade, TRIMS, the International Grains Council and apple/GM-food distinctions. Objective answer letters are not reproduced or inferred.
- **Live-link boundary:** The live WTO pages were substantively retrievable. They support stable legal categories and the continuing appellate-review impairment; no tariff rate, trade share, deficit, agreement status or dispute result was imported.
- **Fact/inference discipline:** no current-affairs item, PYQ wording, figure or quotation is invented.

LIVE OFFICIAL-SOURCE ATTEMPT LOG

The checks below were made on 2026-09-03. Substantive official text is used only for the proposition it actually supports; binary files, dynamic shells, stubs and undated dashboard snippets are recorded but not converted into current claims.

- https://www.wto.org/english/thewto_e/whatis_e/tif_e/fact2_e.htm - retrieved 2026-09-03; substantive WTO text supports MFN, national treatment, bindings, transparency and qualified protection.
- https://www.wto.org/english/tratop_e/dispu_e/appellate_body_e.htm - retrieved 2026-09-03; substantive current page lists notified appeals and supports the continuing appellate impasse without inferring dispute outcomes.

BASIC LEARNING SESSION

DEEP-REVIEW LEARNING CONTRACT

Control	Binding rule for this package
Syllabus boundary	Complete Economy Basic/Core is answer-complete before optional Advanced depth.
Formula boundary	Formula, numerator, denominator, unit, stock/flow, nominal/real, base year, level/rate and accounting identity are explicit.
Institutional boundary	Constitution, statute, delegated rule, regulator mandate, policy, recommendation, scheme and implementation outcome remain distinct.
Transmission method	Shock or instrument -> prices/quantities/balance sheets/incentives -> institution and market response -> output, employment, distribution, stability and external effect -> lag and trade-off.
Current-data method	Source -> release date -> reference period -> unit/denominator -> provisional/revised/final status; incompatible Budget, Survey or statistical vintages are never mixed.
Programme-status method	Announced -> approved -> notified/guidelines issued -> funded -> operational -> utilised -> output -> outcome are separate stages.
External/WTO method	Agreement text, member category, box, limit, notification, consultation, dispute and ruling are qualified without invented thresholds.
Causal method	Accounting identity, chronology and correlation are not promoted into behavioural or causal claims without mechanism, counterfactual and alternatives.
Answer balance	Model answers balance growth, distribution, stability, sustainability and federal dimensions with India-centric evidence.
Practice contract	Every solved item has demand decoding, a detailed examiner-grade model, executable timed/compression plan, marks rationale and answer-specific improvement.
Approval	This immutable successor remains approved: false pending explicit approval.

Canonical Basic/Core owner:

upsc-ai-kit\knowledge\Economy\basic\20_Foreign-Trade-WTO-FTAs-and-Protectionism.md

Substantive canonical provenance owner: upsc-ai-kit\knowledge\Economy\20_Foreign-Trade-WTO-FTAs-and-Protectionism_Learner-V2-Complete-Topic-Package.md

Optional Advanced owner: upsc-ai-kit\knowledge\Economy\advanced\20_Foreign-Trade-WTO-FTAs-and-Protectionism.md

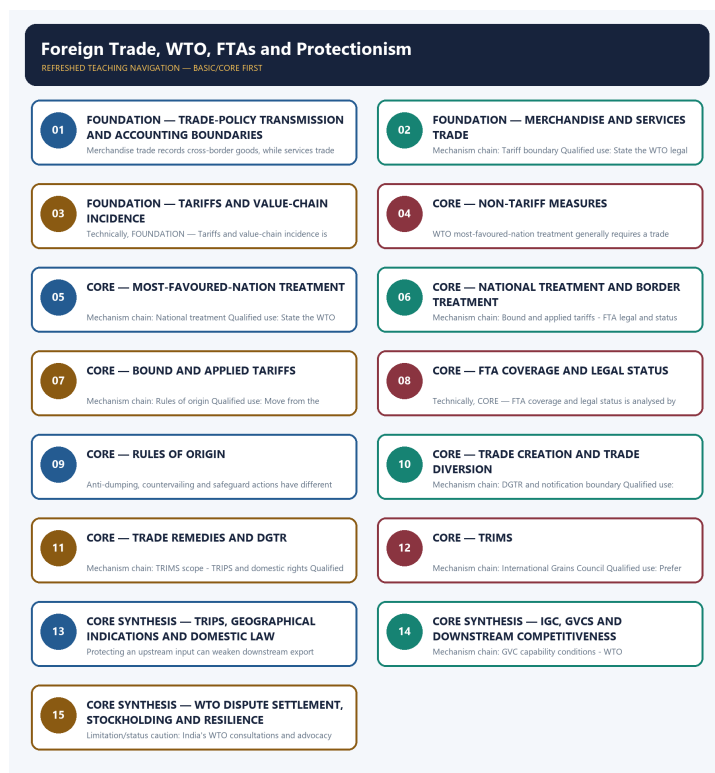
Official syllabus mapping: upsc-ai-kit\knowledge\Economy\OFFICIAL-UPSC-SYLLABUS-MAPPING.md

EVIDENCE, PYQ AND CURRENT-STATUS CONTROL

- Every data-heavy table states unit, denominator, geography, reference period and source/status.
- GDP/GVA, gross/net, domestic/national, nominal/real and level/rate distinctions remain exact.
- Monetary, fiscal and external chains state intermediaries, balance-sheet channels, lags, leakages and trade-offs.
- Budget and Economic Survey editions are never mixed; BE, RE, Actual, advance/provisional/revised/final estimates remain labelled.
- Scheme and programme claims distinguish announcement, approval, notification, operation, coverage, utilisation and measured outcome.
- WTO boxes, limits, de minimis, special treatment, notifications and disputes are qualified from authoritative rules.
- PYQ wording is preserved only where verified; reconstructed or routed demands remain labelled.
- **Current-status note, rechecked 2026-09-03:** volatile rates, estimates, scheme status, trade rules and institutional claims retain official source, release date, reference period and revision status.

Generation-local live/current sources:

- https://www.wto.org/english/thewto_e/whatis_e/tif_e/fact2_e.htm - retrieved 2026-09-03; substantive WTO text supports MFN, national treatment, bindings, transparency and qualified protection.
- https://www.wto.org/english/tratop_e/dispu_e/appellate_body_e.htm - retrieved 2026-09-03; substantive current page lists notified appeals and supports the continuing appellate impasse without inferring dispute outcomes.



Refreshed teaching navigation

Distinct embedded teaching-navigation image. The separate continuous Cārvāka-style flowchart package remains an independent at-a-glance artifact.

SESSION 1 - FOUNDATION - TRADE-POLICY TRANSMISSION AND ACCOUNTING BOUNDARIES

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Trade-policy transmission - Merchandise and services boundary
Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

Technical definition: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: Trade-policy transmission - Merchandise and services boundary
Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MUST-WRITE KEYWORDS

- FOUNDATION
- Trade-policy transmission
- accounting boundaries
- Mechanism chain
- Qualified use
- Merchandise

How to use them: Frame the answer through FOUNDATION; define Trade-policy transmission, connect accounting boundaries with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

TRADE-POLICY TRANSMISSION AND ACCOUNTING BOUNDARIES

01. Trade-policy transmission

|

v

02. Merchandise and services boundary

BOUNDARY -> Do not equate merchandise trade, services trade, total trade and the current account.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

NAMED EVIDENCE AND MECHANISM

- A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.
- Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

EXAMINER CAUTION

- Do not equate merchandise trade, services trade, total trade and the current account.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MINI RECAP

- **Mechanism chain:** Trade-policy transmission -> Merchandise and services boundary
- **Qualified use:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

CLOSING RECALL FLOW - FOUNDATION - TRADE-POLICY TRANSMISSION AND ACCOUNTING BOUNDARIES

START / CONCEPT: FOUNDATION - Trade-policy transmission and accounting boundaries

|
v

EXACT TERMS: FOUNDATION · Trade-policy transmission · accounting boundaries · Mechanism chain · Qualified use · Merchandise

|
v

MECHANISM / ARGUMENT: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

|
v

CONSEQUENCE / CONTRAST: Do not equate merchandise trade, services trade, total trade and the current account.

|
v

UPSC TRAP / ANSWER-USE: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.

|
v

ANSWER-GRABBING FORMULATION: Mechanism chain: Trade-policy transmission - Merchandise and services boundary Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

SESSION 2 - FOUNDATION - MERCHANDISE AND SERVICES TRADE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Technical definition: Mechanism chain: Tariff boundary Qualified use: State the WTO legal category and agreement status before making a policy claim.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

MUST-WRITE KEYWORDS

- **FOUNDATION**
- **Merchandise**
- **services trade**
- **Mechanism chain**
- **Qualified use**
- **A tariff**

How to use them: Frame the answer through FOUNDATION; define Merchandise, connect services trade with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

MERCHANDISE AND SERVICES TRADE

01. Tariff boundary

BOUNDARY -> Do not quote a tariff without distinguishing the bound ceiling from the applied rate.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

NAMED EVIDENCE AND MECHANISM

- A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

EXAMINER CAUTION

- Do not quote a tariff without distinguishing the bound ceiling from the applied rate.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** State the WTO legal category and agreement status before making a policy claim.

MINI RECAP

- **Mechanism chain:** Tariff boundary
- **Qualified use:** State the WTO legal category and agreement status before making a policy claim.

CLOSING RECALL FLOW - FOUNDATION - MERCHANDISE AND SERVICES TRADE

START / CONCEPT: FOUNDATION - Merchandise and services trade

|

v

EXACT TERMS: FOUNDATION · Merchandise · services trade · Mechanism chain · Qualified use · A tariff

|

v

MECHANISM / ARGUMENT: Mechanism chain: Tariff boundary Qualified use: State the WTO legal category and agreement status before making a policy claim.

|

v

CONSEQUENCE / CONTRAST: Do not quote a tariff without distinguishing the bound ceiling from the applied rate.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not quote a tariff without distinguishing the bound ceiling from the applied rate.

|

v

ANSWER-GRABBING FORMULATION: A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

SESSION 3 - FOUNDATION - TARIFFS AND VALUE-CHAIN INCIDENCE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Non-tariff measure boundary Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

Technical definition: Technically, FOUNDATION - Tariffs and value-chain incidence is analysed by relating FOUNDATION to Tariffs, then testing the relationship through value-chain incidence and Mechanism chain.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Do not treat MFN and national treatment as the same stage of non-discrimination.

MUST-WRITE KEYWORDS

- **FOUNDATION**
- **Tariffs**
- **value-chain incidence**
- **Mechanism chain**
- **Qualified use**
- **MFN**

How to use them: Frame the answer through FOUNDATION; define Tariffs, connect value-chain incidence with Mechanism chain to explain the mechanism, and use Qualified use for the decisive comparison or qualification.

VISUAL FIRST

TARIFFS AND VALUE-CHAIN INCIDENCE

01. Non-tariff measure boundary

BOUNDARY -> Do not treat MFN and national treatment as the same stage of non-discrimination.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.

NAMED EVIDENCE AND MECHANISM

- A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.

EXAMINER CAUTION

- Do not treat MFN and national treatment as the same stage of non-discrimination.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

MINI RECAP

- **Mechanism chain:** Non-tariff measure boundary
- **Qualified use:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

CLOSING RECALL FLOW - FOUNDATION - TARIFFS AND VALUE-CHAIN INCIDENCE

START / CONCEPT: FOUNDATION - Tariffs and value-chain incidence
|
v
EXACT TERMS: FOUNDATION · Tariffs · value-chain incidence · Mechanism chain · Qualified use · MFN
|
v
MECHANISM / ARGUMENT: Mechanism chain: Non-tariff measure boundary Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.
|
v
CONSEQUENCE / CONTRAST: A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.
|
v
UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not treat MFN and national treatment as the same stage of non-discrimination.
|
v
ANSWER-GRABBING FORMULATION: Do not treat MFN and national treatment as the same stage of non-discrimination.

SESSION 4 - CORE - NON-TARIFF MEASURES

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: MFN treatment Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

Technical definition: WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Do not describe every FTA product as duty-free immediately or ignore legal status.

MUST-WRITE KEYWORDS

- Non-tariff measures
- Mechanism chain
- Qualified use
- WTO
- FTA
- MFN

How to use them: Frame the answer through Non-tariff measures; define Mechanism chain, connect Qualified use with WTO to explain the mechanism, and use FTA for the decisive comparison or qualification.

VISUAL FIRST

NON-TARIFF MEASURES

01. MFN treatment

BOUNDARY -> Do not describe every FTA product as duty-free immediately or ignore legal status.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

NAMED EVIDENCE AND MECHANISM

- WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

EXAMINER CAUTION

- Do not describe every FTA product as duty-free immediately or ignore legal status.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MINI RECAP

- **Mechanism chain:** MFN treatment
- **Qualified use:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

CLOSING RECALL FLOW - CORE - NON-TARIFF MEASURES

START / CONCEPT: CORE - Non-tariff measures

|

v

EXACT TERMS: Non-tariff measures · Mechanism chain · Qualified use · WTO · FTA · MFN

|

v

MECHANISM / ARGUMENT: Mechanism chain: MFN treatment Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

|

v

CONSEQUENCE / CONTRAST: WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not describe every FTA product as duty-free immediately or ignore legal status.

|

v

ANSWER-GRABBING FORMULATION: Do not describe every FTA product as duty-free immediately or ignore legal status.

SESSION 5 - CORE - MOST-FAVOURLED-NATION TREATMENT

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

Technical definition: Mechanism chain: National treatment Qualified use: State the WTO legal category and agreement status before making a policy claim.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

MUST-WRITE KEYWORDS

- **Most-favoured-nation treatment**
- **Mechanism chain**
- **Qualified use**
- **WTO**
- **National**
- **Qualified**

How to use them: Frame the answer through Most-favoured-nation treatment; define Mechanism chain, connect Qualified use with WTO to explain the mechanism, and use National for the decisive comparison or qualification.

VISUAL FIRST

MOST-FAVOURED-NATION TREATMENT

01. National treatment

BOUNDARY -> Do not treat rules of origin as a tariff or proof of domestic value addition.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

NAMED EVIDENCE AND MECHANISM

- WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

EXAMINER CAUTION

- Do not treat rules of origin as a tariff or proof of domestic value addition.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** State the WTO legal category and agreement status before making a policy claim.

MINI RECAP

- **Mechanism chain:** National treatment
- **Qualified use:** State the WTO legal category and agreement status before making a policy claim.

CLOSING RECALL FLOW - CORE - MOST-FAVOURED-NATION TREATMENT

START / CONCEPT: CORE - Most-favoured-nation treatment

|

v

EXACT TERMS: Most-favoured-nation treatment · Mechanism chain · Qualified use · WTO · National · Qualified

|

v

MECHANISM / ARGUMENT: Mechanism chain: National treatment Qualified use: State the WTO legal category and agreement status before making a policy claim.

|

v

CONSEQUENCE / CONTRAST: Do not treat rules of origin as a tariff or proof of domestic value addition.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: WTO national treatment concerns internal treatment after an imported product or service has entered...

|

v

ANSWER-GRABBING FORMULATION: WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

SESSION 6 - CORE - NATIONAL TREATMENT AND BORDER TREATMENT

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.

Technical definition: Mechanism chain: Bound and applied tariffs - FTA legal and status boundary Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.

MUST-WRITE KEYWORDS

- National treatment
- border treatment
- Mechanism chain
- Qualified use
- A WTO bound tariff
- WTO

How to use them: Frame the answer through National treatment; define border treatment, connect Mechanism chain with Qualified use to explain the mechanism, and use A WTO bound tariff for the decisive comparison or qualification.

VISUAL FIRST

NATIONAL TREATMENT AND BORDER TREATMENT

01. Bound and applied tariffs

|

v

02. FTA legal and status boundary

BOUNDARY -> Do not merge dumping, subsidisation and import-surge safeguards.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

NAMED EVIDENCE AND MECHANISM

- A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.
- An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

EXAMINER CAUTION

- Do not merge dumping, subsidisation and import-surge safeguards.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

MINI RECAP

- **Mechanism chain:** Bound and applied tariffs -> FTA legal and status boundary
- **Qualified use:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

CLOSING RECALL FLOW - CORE - NATIONAL TREATMENT AND BORDER TREATMENT

START / CONCEPT: CORE - National treatment and border treatment

|

v

EXACT TERMS: National treatment · border treatment · Mechanism chain · Qualified use · A WTO bound tariff · WTO

|

v

MECHANISM / ARGUMENT: Mechanism chain: Bound and applied tariffs - FTA legal and status boundary
Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

|

v

CONSEQUENCE / CONTRAST: Do not merge dumping, subsidisation and import-surge safeguards.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: an FTA creates preferences under agreed coverage, schedules and exceptions.

|

v

ANSWER-GRABBING FORMULATION: A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.

SESSION 7 - CORE - BOUND AND APPLIED TARIFFS

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

Technical definition: Mechanism chain: Rules of origin Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

MUST-WRITE KEYWORDS

- Bound
- applied tariffs
- Mechanism chain
- Qualified use
- Rules
- FTA

How to use them: Frame the answer through Bound; define applied tariffs, connect Mechanism chain with Qualified use to explain the mechanism, and use Rules for the decisive comparison or qualification.

VISUAL FIRST

BOUND AND APPLIED TARIFFS

01. Rules of origin

BOUNDARY -> Do not turn an investigation or recommendation into a notified remedy.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

NAMED EVIDENCE AND MECHANISM

- Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

EXAMINER CAUTION

- Do not turn an investigation or recommendation into a notified remedy.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MINI RECAP

- **Mechanism chain:** Rules of origin
- **Qualified use:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

CLOSING RECALL FLOW - CORE - BOUND AND APPLIED TARIFFS

START / CONCEPT: CORE - Bound and applied tariffs
|
v
EXACT TERMS: Bound · applied tariffs · Mechanism chain · Qualified use · Rules · FTA
|
v
MECHANISM / ARGUMENT: Mechanism chain: Rules of origin Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.
|
v
CONSEQUENCE / CONTRAST: Do not turn an investigation or recommendation into a notified remedy.
|
v
UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not turn an investigation or recommendation into a notified remedy.
|
v
ANSWER-GRABBING FORMULATION: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

SESSION 8 - CORE - FTA COVERAGE AND LEGAL STATUS

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Trade creation and diversion Qualified use: State the WTO legal category and agreement status before making a policy claim.

Technical definition: Technically, CORE - FTA coverage and legal status is analysed by relating FTA coverage to legal status, then testing the relationship through Mechanism chain and Qualified use.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: Trade creation and diversion Qualified use: State the WTO legal category and agreement status before making a policy claim.

MUST-WRITE KEYWORDS

- FTA coverage
- legal status
- Mechanism chain
- Qualified use
- WTO
- PYQ

How to use them: Frame the answer through FTA coverage; define legal status, connect Mechanism chain with Qualified use to explain the mechanism, and use WTO for the decisive comparison or qualification.

VISUAL FIRST

FTA COVERAGE AND LEGAL STATUS

01. Trade creation and diversion

BOUNDARY -> Do not infer a WTO dispute outcome or PYQ answer letter from a routed demand.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

NAMED EVIDENCE AND MECHANISM

- Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

EXAMINER CAUTION

- Do not infer a WTO dispute outcome or PYQ answer letter from a routed demand.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** State the WTO legal category and agreement status before making a policy claim.

MINI RECAP

- **Mechanism chain:** Trade creation and diversion
- **Qualified use:** State the WTO legal category and agreement status before making a policy claim.

CLOSING RECALL FLOW - CORE - FTA COVERAGE AND LEGAL STATUS

START / CONCEPT: CORE - FTA coverage and legal status

|

v

EXACT TERMS: FTA coverage · legal status · Mechanism chain · Qualified use · WTO · PYQ

|

v

MECHANISM / ARGUMENT: Do not infer a WTO dispute outcome or PYQ answer letter from a routed demand.

|

v

CONSEQUENCE / CONTRAST: The resulting consequence is that do not infer a WTO dispute outcome or PYQ answer letter from a routed...

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not infer a WTO dispute outcome or PYQ answer letter from a routed...

|

v

ANSWER-GRABBING FORMULATION: Mechanism chain: Trade creation and diversion Qualified use: State the WTO legal category and agreement status before making a policy claim.

SESSION 9 - CORE - RULES OF ORIGIN

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Trade-remedy categories Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

Technical definition: Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: Trade-remedy categories Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

MUST-WRITE KEYWORDS

- Rules of origin
- Mechanism chain
- Qualified use
- Anti-dumping
- Appellate Body
- WTO

How to use them: Frame the answer through Rules of origin; define Mechanism chain, connect Qualified use with Anti-dumping to explain the mechanism, and use Appellate Body for the decisive comparison or qualification.

VISUAL FIRST

RULES OF ORIGIN

01. Trade-remedy categories

BOUNDARY -> Do not call the Appellate Body impasse the end of every WTO panel process.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

NAMED EVIDENCE AND MECHANISM

- Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

EXAMINER CAUTION

- Do not call the Appellate Body impasse the end of every WTO panel process.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

MINI RECAP

- **Mechanism chain:** Trade-remedy categories
- **Qualified use:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

CLOSING RECALL FLOW - CORE - RULES OF ORIGIN

START / CONCEPT: CORE - Rules of origin

|

v

EXACT TERMS: Rules of origin • Mechanism chain • Qualified use • Anti-dumping • Appellate Body • WTO

|

v

MECHANISM / ARGUMENT: Do not call the Appellate Body impasse the end of every WTO panel process.

|

v

CONSEQUENCE / CONTRAST: Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not call the Appellate Body impasse the end of every WTO panel process.

|

v

ANSWER-GRABBING FORMULATION: Mechanism chain: Trade-remedy categories Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

SESSION 10 - CORE - TRADE CREATION AND TRADE DIVERSION

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

Technical definition: Mechanism chain: DGTR and notification boundary. Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

MUST-WRITE KEYWORDS

- Trade creation
- trade diversion
- Mechanism chain
- Qualified use
- The Directorate General
- Trade Remedies

How to use them: Frame the answer through Trade creation; define trade diversion, connect Mechanism chain with Qualified use to explain the mechanism, and use The Directorate General for the decisive comparison or qualification.

VISUAL FIRST

TRADE CREATION AND TRADE DIVERSION

01. DGTR and notification boundary

BOUNDARY -> Do not use protectionism and resilience as synonyms.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

NAMED EVIDENCE AND MECHANISM

- The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

EXAMINER CAUTION

- Do not use protectionism and resilience as synonyms.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MINI RECAP

- **Mechanism chain:** DGTR and notification boundary
- **Qualified use:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

CLOSING RECALL FLOW - CORE - TRADE CREATION AND TRADE DIVERSION

START / CONCEPT: CORE - Trade creation and trade diversion

|

v

EXACT TERMS: Trade creation · trade diversion · Mechanism chain · Qualified use · The Directorate General · Trade Remedies

|

v

MECHANISM / ARGUMENT: Mechanism chain: DGTR and notification boundary Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

|

v

CONSEQUENCE / CONTRAST: Do not use protectionism and resilience as synonyms.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: the Directorate General of Trade Remedies investigates specified Indian trade-remedy cases.

|

v

ANSWER-GRABBING FORMULATION: The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

SESSION 11 - CORE - TRADE REMEDIES AND DGTR

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.

Technical definition: Mechanism chain: TRIMS scope - TRIPS and domestic rights Qualified use: State the WTO legal category and agreement status before making a policy claim.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Do not equate merchandise trade, services trade, total trade and the current account.

MUST-WRITE KEYWORDS

- Trade remedies
- DGTR
- Mechanism chain
- Qualified use
- The WTO Agreement
- Trade-Related Investment Measures

How to use them: Frame the answer through Trade remedies; define DGTR, connect Mechanism chain with Qualified use to explain the mechanism, and use The WTO Agreement for the decisive comparison or qualification.

VISUAL FIRST

TRADE REMEDIES AND DGTR

01. TRIMS scope

|
v

02. TRIPS and domestic rights

BOUNDARY -> Do not equate merchandise trade, services trade, total trade and the current account.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

NAMED EVIDENCE AND MECHANISM

- The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.
- TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

EXAMINER CAUTION

- Do not equate merchandise trade, services trade, total trade and the current account.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** State the WTO legal category and agreement status before making a policy claim.

MINI RECAP

- **Mechanism chain:** TRIMS scope -> TRIPS and domestic rights
- **Qualified use:** State the WTO legal category and agreement status before making a policy claim.

CLOSING RECALL FLOW - CORE - TRADE REMEDIES AND DGTR

START / CONCEPT: CORE - Trade remedies and DGTR

|
v

EXACT TERMS: Trade remedies • DGTR • Mechanism chain • Qualified use • The WTO Agreement • Trade-Related Investment Measures

|
v

MECHANISM / ARGUMENT: Mechanism chain: TRIMS scope - TRIPS and domestic rights Qualified use: State the WTO legal category and agreement status before making a policy claim.

|
v

CONSEQUENCE / CONTRAST: The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.

|
v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: do not equate merchandise trade, services trade, total trade and the current account.

|
v

ANSWER-GRABBING FORMULATION: Do not equate merchandise trade, services trade, total trade and the current account.

SESSION 12 - CORE - TRIMS

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

Technical definition: Mechanism chain: International Grains Council Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

MUST-WRITE KEYWORDS

- Trims
- Mechanism chain
- Qualified use
- The International Grains Council
- UN
- International Grains Council Qualified

How to use them: Frame the answer through Trims; define Mechanism chain, connect Qualified use with The International Grains Council to explain the mechanism, and use UN for the decisive comparison or qualification.

VISUAL FIRST

TRIMS

01. International Grains Council

BOUNDARY -> Do not quote a tariff without distinguishing the bound ceiling from the applied rate.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

NAMED EVIDENCE AND MECHANISM

- The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

EXAMINER CAUTION

- Do not quote a tariff without distinguishing the bound ceiling from the applied rate.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

MINI RECAP

- **Mechanism chain:** International Grains Council
- **Qualified use:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

CLOSING RECALL FLOW - CORE - TRIMS

START / CONCEPT: CORE - TRIMS

|

v

EXACT TERMS: Trims · Mechanism chain · Qualified use · The International Grains Council · UN · International Grains Council Qualified

|

v

MECHANISM / ARGUMENT: Mechanism chain: International Grains Council Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

|

v

CONSEQUENCE / CONTRAST: Do not quote a tariff without distinguishing the bound ceiling from the applied rate.

|

v

UPSC TRAP / ANSWER-USE: Do not miss this limiting distinction: the International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN...

|

v

ANSWER-GRABBING FORMULATION: The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

SESSION 13 - CORE SYNTHESIS - TRIPS, GEOGRAPHICAL INDICATIONS AND DOMESTIC LAW

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Mechanism chain: Protection and downstream competitiveness Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

Technical definition: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Mechanism chain: Protection and downstream competitiveness Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- TRIPS
- geographical indications
- domestic law
- Mechanism chain
- Qualified use

How to use them: Frame the answer through CORE SYNTHESIS; define TRIPS, connect geographical indications with domestic law to explain the mechanism, and use Mechanism chain for the decisive comparison or qualification.

VISUAL FIRST

TRIPS, GEOGRAPHICAL INDICATIONS AND DOMESTIC LAW

01. Protection and downstream competitiveness

BOUNDARY -> Do not treat MFN and national treatment as the same stage of non-discrimination.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

NAMED EVIDENCE AND MECHANISM

- Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

EXAMINER CAUTION

- Do not treat MFN and national treatment as the same stage of non-discrimination.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

MINI RECAP

- **Mechanism chain:** Protection and downstream competitiveness
- **Qualified use:** Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

CLOSING RECALL FLOW - CORE SYNTHESIS - TRIPS, GEOGRAPHICAL INDICATIONS AND DOMESTIC LAW

START / CONCEPT: CORE SYNTHESIS - TRIPS, geographical indications and domestic law

|

v

EXACT TERMS: CORE SYNTHESIS • TRIPS • geographical indications • domestic law • Mechanism chain •

Qualified use

|

v

MECHANISM / ARGUMENT: The operative mechanism is that protection and downstream competitiveness

Qualified use.

|

v

CONSEQUENCE / CONTRAST: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

|

v

UPSC TRAP / ANSWER-USE: Do not treat MFN and national treatment as the same stage of non-discrimination.

|

v

ANSWER-GRABBING FORMULATION: Mechanism chain: Protection and downstream competitiveness Qualified use: Move from the border instrument to prices, firms, workers, consumers and macroeconomic stability.

SESSION 14 - CORE SYNTHESIS - IGC, GVCs AND DOWNSTREAM COMPETITIVENESS

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: CORE SYNTHESIS - IGC, GVCs and downstream competitiveness comprises CORE SYNTHESIS, IGC and GVCs as its core connected dimensions.

Technical definition: Mechanism chain: GVC capability conditions - WTO dispute-settlement status Qualified use: State the WTO legal category and agreement status before making a policy claim.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

CORE SYNTHESIS - IGC, GVCs and downstream competitiveness comprises CORE SYNTHESIS, IGC and GVCs as its core connected dimensions.

MUST-WRITE KEYWORDS

- CORE SYNTHESIS
- IGC
- GVCs
- downstream competitiveness
- Mechanism chain
- Qualified use

How to use them: Frame the answer through CORE SYNTHESIS; define IGC, connect GVCs with downstream competitiveness to explain the mechanism, and use Mechanism chain for the decisive comparison or qualification.

VISUAL FIRST

IGC, GVCs AND DOWNSTREAM COMPETITIVENESS

01. GVC capability conditions

|
v

02. WTO dispute-settlement status

BOUNDARY -> Do not describe every FTA product as duty-free immediately or ignore legal status.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.

NAMED EVIDENCE AND MECHANISM

- Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.
- The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.

EXAMINER CAUTION

- Do not describe every FTA product as duty-free immediately or ignore legal status.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** State the WTO legal category and agreement status before making a policy claim.

MINI RECAP

- **Mechanism chain:** GVC capability conditions -> WTO dispute-settlement status
- **Qualified use:** State the WTO legal category and agreement status before making a policy claim.

CLOSING RECALL FLOW - CORE SYNTHESIS - IGC, GVCs AND DOWNSTREAM COMPETITIVENESS

START / CONCEPT: CORE SYNTHESIS - IGC, GVCs and downstream competitiveness
|
v
EXACT TERMS: CORE SYNTHESIS • IGC • GVCs • downstream competitiveness • Mechanism chain • Qualified use
|
v
MECHANISM / ARGUMENT: Mechanism chain: GVC capability conditions - WTO dispute-settlement status
Qualified use: State the WTO legal category and agreement status before making a policy claim.
|
v
CONSEQUENCE / CONTRAST: Do not describe every FTA product as duty-free immediately or ignore legal status.
|
v
UPSC TRAP / ANSWER-USE: Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.
|
v
ANSWER-GRABBING FORMULATION: CORE SYNTHESIS - IGC, GVCs and downstream competitiveness comprises CORE SYNTHESIS, IGC and GVCs as its core connected dimensions.

SESSION 15 - CORE SYNTHESIS - WTO DISPUTE SETTLEMENT, STOCKHOLDING AND RESILIENCE

DEFINITION / WHAT THIS IS CALLED

Plain-language definition: Reasoned verdict template "As WTO dispute settlement remains impaired (Appellate Body paralysis, India outside the MPIA), India has pursued selective bilateral/regional agreements (UAE, Australia, EFTA, UK CETA, prospective EU FTA) to sustain market access, but [name the specific utilisation/compliance/food-security constraint the question asks about] means bilateralism is a partial, not complete, substitute for a functioning multilateral system - therefore [qualified, directive-matching conclusion].".

Technical definition: Limitation/status caution: India's WTO consultations and advocacy are a live, evolving dispute/negotiation process (including CBAM-related provisions reportedly discussed within India-EU FTA talks); state its status as contested/under negotiation rather than as a resolved WTO finding. FACT: Claim: Two frequently paired statements - whether India imports apples from the USA, and whether Indian law permits GM-food imports without approval - are analytically independent facts, and an objective item testing both must not have one inferred from the other.

ANSWER-GRABBING OPENING - WRITE/ADAPT IN THE EXAM

Reasoned verdict template "As WTO dispute settlement remains impaired (Appellate Body paralysis, India outside the MPIA), India has pursued selective bilateral/regional agreements (UAE, Australia, EFTA, UK CETA, prospective EU FTA) to sustain market access, but [name the specific utilisation/compliance/food-security constraint the question asks about] means bilateralism is a partial, not complete, substitute for a functioning multilateral system - therefore [qualified, directive-matching conclusion].".

MUST-WRITE KEYWORDS

- **CORE SYNTHESIS**
- **WTO dispute settlement**
- **stockholding**
- **resilience**
- **Mechanism chain**

- Qualified use

How to use them: Frame the answer through CORE SYNTHESIS; define WTO dispute settlement, connect stockholding with resilience to explain the mechanism, and use Mechanism chain for the decisive comparison or qualification.

VISUAL FIRST

WTO DISPUTE SETTLEMENT, STOCKHOLDING AND RESILIENCE

01. Public stockholding boundary

|

v

02. Resilience versus autarky

BOUNDARY -> Do not treat rules of origin as a tariff or proof of domestic value addition.

This topic-specific rail fixes the evidence sequence and its exam boundary before analysis.

CORE EXPLANATION

WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

NAMED EVIDENCE AND MECHANISM

- WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.
- Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

EXAMINER CAUTION

- Do not treat rules of origin as a tariff or proof of domestic value addition.

EXAM LINK

- **Prelims:** Preserve the exact formula, territorial or resident boundary, price basis, base year, index basket, eligible counterparty, institution and legal status; never upgrade a projection into an actual or a regulatory direction into a universal rule.
- **Mains:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

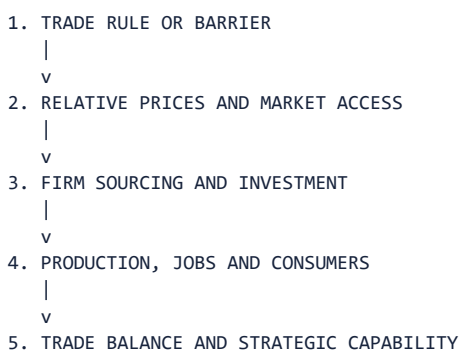
MINI RECAP

- **Mechanism chain:** Public stockholding boundary -> Resilience versus autarky
- **Qualified use:** Prefer diversified capability, predictable rules and adjustment support over permanent protection.

COMPLETE BASIC OWNER EVIDENCE BANK

Subject: Economy | **Tier:** Must-Do (foundation) | **GS Paper:** GS-III + Prelims. **Core area:** Trade policy. **Grounded in:** Ramesh Singh, relevant chapters; Economic Survey 2025-26; audited UPSC Economy PYQs (2024-2026 Prelims and 2024-2025 Mains). **FACT:** = source-grounded | **ANALYSIS:** = analytical linkage | **CURRENT:** = current Survey/current-affairs hook. *Companion:*
../advanced/20_Foreign-Trade-WTO-FTAs-and-Protectionism.md.

1. Visual foundation



Core proposition: Trade policy should lower economy-wide costs and build export capability while using time-bound protection only where learning and strategic spillovers are demonstrable.

2. Essential definitions

Concept	Exam-ready meaning
FACT: Tariff	Tax imposed on imported goods.
FACT: Non-tariff measure	Regulatory measure affecting trade, including standards, quotas or procedures.
FACT: FTA	Agreement reducing trade barriers among members under agreed coverage and rules.
FACT: Rules of origin	Criteria determining where a product originates for preferential treatment.
FACT: Protectionism	Use of barriers or preferences to shelter domestic producers from external competition.
FACT: TRIPS	WTO agreement setting minimum standards for intellectual-property protection; it does not itself grant a patent.

3. Topic mechanism

1. Tariffs, standards and trade agreements change landed prices and market access.
2. Firms respond by altering suppliers, scale, technology, product quality and investment location.
3. Rules of origin determine whether a product qualifies for an FTA preference.
4. Trade exposure redistributes gains and losses among consumers, exporters, import-competing firms and workers.
5. Adjustment support, logistics and domestic capability decide whether openness produces upgrading or persistent vulnerability.

4. Institutions and policy tools

- FACT: **WTO**: provides multilateral trade rules, negotiation forums and dispute-settlement architecture.
- FACT: **Department of Commerce**: negotiates trade agreements and administers trade-policy instruments.
- FACT: **DGTR**: investigates specified trade-remedy cases under applicable law.
- FACT: **Customs and standards or testing bodies**: implement border treatment, origin verification and technical compliance.

5. Indian applications and examples

- FACT: **Claim**: The WTO's binding dispute-settlement system has been structurally impaired since 2019, changing how trade disputes are actually resolved. **Evidence**: The WTO Appellate Body has been unable to hear new appeals since December 2019 because the United States blocked the appointment of new members,

leaving it without the quorum needed to function ("Appellate Body paralysis"). **Significance:** This is essential context for any answer on multilateral trade governance's credibility and on why some disputes are now effectively unappealable in binding form. **Limitation:** Paralysis of the Appellate Body does not stop WTO panels from issuing first-level rulings; it only removes the binding appeal stage, so dispute settlement continues in a weakened, not fully absent, form.

- **FACT: Claim:** A subset of WTO members created a workaround arbitration mechanism, and India has chosen to remain outside it. **Evidence:** The Multi-Party Interim Appeal Arbitration Arrangement (MPIA), established in 2020 among a subset of WTO members (the EU and several other economies) as an alternative appeal mechanism, functions only among its participating members; India has not joined the MPIA. **Significance:** This is a precise, examinable India-specific fact distinguishing "WTO reform advocacy" from "participation in an interim workaround." **Limitation/status caution:** Membership and participation lists evolve; verify current MPIA membership and India's stated reasons from a dated official/authoritative source before citing specifics beyond non-membership.

- **FACT: Claim:** India replaced its trade-policy framework to shift emphasis from incentive-heavy export promotion to procedural ease and remission-based support. **Evidence:** The Foreign Trade Policy (FTP) 2023, effective 1 April 2023, replaced the FTP 2015-20 and emphasises process re-engineering, digitalisation (e.g., paperless approvals), and remission-based schemes (aligned with WTO-compatible export-support design) over direct incentive schemes. **Significance:** It shows trade policy responding to WTO disciplines (e.g., past disputes on export subsidy schemes) rather than operating in isolation from multilateral rules. **Limitation:** A stated policy shift towards remission-based, WTO-compatible support does not by itself resolve exporters' logistics, credit or compliance-cost constraints.

- **FACT: Claim:** Trade-remedy investigation is institutionally separated from ordinary customs administration to ensure a rules-based, evidence-driven process. **Evidence:** The Directorate General of Trade Remedies (DGTR) investigates anti-dumping, countervailing-duty and safeguard cases under the applicable trade-remedy law and WTO-consistent procedures. **Significance:** This operationalises the Section 6 distinction between anti-dumping, countervailing duty and safeguard action with a named investigating authority. **Limitation:** DGTR recommendations require final government notification to take effect, and remedies are time-bound and subject to review, not a permanent tariff.

- **FACT: Claim:** India has been willing to withdraw from a major regional trade negotiation when domestic sensitivities were not adequately addressed. **Evidence:** India withdrew from the Regional Comprehensive Economic Partnership (RCEP) negotiations in November 2019, citing concerns over the trade deficit with China, market access for goods and dairy, and safeguard mechanisms. **Significance:** It shows that FTA/regional-agreement participation is conditional and contested domestically, not an automatic policy trajectory. **Limitation:** The RCEP withdrawal is a single case; it should not be generalised to predict India's approach to every subsequent negotiation (India has since concluded other FTAs).

- **FACT: Claim:** India has concluded several bilateral/plurilateral FTAs after RCEP, reflecting a selective rather than blanket approach to trade liberalisation. **Evidence:** India signed the India-UAE Comprehensive Economic Partnership Agreement (CEPA, in force May 2022), the India-Australia Economic Cooperation and Trade Agreement (ECTA, in force December 2022), and the India-EFTA (Iceland, Liechtenstein, Norway, Switzerland) Trade and Economic Partnership Agreement (TEPA, entered into force 1 October 2025). **Significance:** These named, dated agreements evidence a diversification strategy (Gulf, Indo-Pacific, European) consistent with the topic's "diversified partnerships" Survey anchor. **Limitation:** Each agreement's tariff-line coverage, exclusions and rules-of-origin conditions differ; utilisation rates by Indian exporters vary and should not be assumed uniformly high across all agreements.

- **FACT: Claim:** India's most significant trade negotiations concluded by mid-2026 change the answer to "does India rely mainly on multilateralism or bilateralism." **Evidence:** The India-UK Comprehensive Economic and Trade Agreement (CETA), signed 24 July 2025, entered into force on 15 July 2026 after a delay linked to UK steel-safeguard concerns; separately, India-EU FTA negotiations were announced as concluded at the technical level at the India-EU Summit (January 2026), with the treaty text undergoing legal scrubbing and signature targeted before end-2026, while an associated Investment Protection Agreement and Geographical Indications agreement remain under separate negotiation. **Significance:** These are the most current, examinable status facts for

"India's trade strategy amid protectionism," directly supporting the 2025 GS-III PYQ theme. **Limitation/status**

caution: As of August 2026, the India-EU FTA is concluded technically but not yet signed/ratified; treat its legal entry-into-force date, and any post-August-2026 UK-CETA implementation development, as requiring a dated official source rather than assumed finality.

- FACT: **Claim:** WTO agriculture negotiations retain an unresolved, examinable tension around

India's food-security stockholding. **Evidence:** Under the WTO Agreement on Agriculture, India (with the G-33 group) has sought a permanent solution for public stockholding for food-security purposes, given that MSP-based procurement risks breaching the 10% de minimis Aggregate Measurement of Support ceiling calculated at external reference prices fixed to a 1986-88 base; a "Peace Clause" interim protection (from the 2013 Bali Ministerial) shields such programmes from challenge pending a permanent solution. **Significance:** This is a recurring, high-yield Mains link between trade rules and domestic food-security policy (cross-reference Topic 12/28). **Limitation/status caution:** A permanent solution has not been concluded as of the latest confirmed ministerial outcomes; state its status as "unresolved, interim Peace-Clause protected" rather than claiming final resolution.

- FACT: **Claim:** A new EU climate-trade instrument now directly affects India's carbon-intensive exports and has entered a legally binding phase. **Evidence:** The **EU Carbon Border Adjustment Mechanism (CBAM)** requires importers of **cement, iron and steel, aluminium, fertilisers, hydrogen and electricity** into the EU to report/pay for the embedded (upstream) greenhouse-gas emissions of those goods; it moved from a reporting-only **transitional phase (October 2023-December 2025)** to a **definitive, financially enforceable regime from 1 January 2026**, under which importers must be authorised and must purchase and surrender CBAM certificates priced against the EU Emissions Trading System (EU ETS) allowance price for the embedded emissions of covered imports (Iron & steel and aluminium are the sectors of greatest direct relevance to Indian exporters; cement and fertiliser exposure is smaller). **Significance:** CBAM converts a domestic EU climate-price signal into a border-adjustable cost applied to Indian exporters, making it simultaneously a trade-policy and climate-policy question - directly extending the Section-5 "protectionism/bilateralism" theme to a climate-linked, rules-based (not tariff-line) barrier. **Limitation/status caution (dated August 2026):** The definitive regime began only in January 2026; the European Commission's 2025 "Omnibus" simplification (Regulation (EU) 2025/2083) added a **50-tonne/year de-minimis import exemption**, eased quarterly certificate-holding requirements to 50% of verified emissions, and moved the annual declaration/certificate-surrender deadline to 30 September of the following year - treat these procedural parameters as subject to further EU revision and verify from the European Commission's CBAM pages before citing specifics beyond the sector list and 1 January 2026 start date.
- FACT: **Claim:** India regards CBAM as inconsistent with WTO non-discrimination rules and with the equity principles of the global climate regime, not merely as a compliance cost. **Evidence:** India's Ministry of Commerce and Industry has characterised CBAM as a **discriminatory, unilateral trade barrier** and raised it at the WTO (including a 2024 request for consultations with the EU) as a potential breach of GATT 1994 most-favoured-nation and national-treatment obligations; India separately argues CBAM undercuts the **Common but Differentiated Responsibilities and Respective Capabilities (CBDR-RC)** principle under the UNFCCC/Paris Agreement, since it applies a uniform EU carbon-price-linked charge to developing-country exporters without regard to differentiated historical responsibility or development stage. **Significance:** This gives an answer a two-track objection structure - a **trade-law/WTO-consistency** track and a **climate-equity/CBDR** track - rather than treating CBAM as only an environmental measure. **Limitation/status caution:** India's WTO consultations and advocacy are a live, evolving dispute/negotiation process (including CBAM-related provisions reportedly discussed within India-EU FTA talks); state its status as contested/under negotiation rather than as a resolved WTO finding.
- FACT: **Claim:** Two frequently paired statements - whether India imports apples from the USA, and whether Indian law permits GM-food imports without approval - are analytically independent facts, and an objective item testing both must not have one inferred from the other. **Evidence:** India has been a regular importer of apples from the United States as one of several source countries for its apple imports (subject to periodic customs-duty changes, including the removal of retaliatory import duties on select US goods in 2023); separately, India's biosafety and food-safety framework - administered jointly through the Genetic Engineering Appraisal Committee (GEAC) under the Ministry of Environment, Forest and Climate Change, and the Food Safety and Standards Authority of India (FSSAI) under the Food Safety and Standards Act, 2006 - prohibits the import of genetically modified (GM) food without prior approval from the competent authority, and no blanket approval for GM food imports for human consumption currently exists. **Significance:** This equips a "verify the following statements" objective item testing

(a) the India-US apple-trade fact and (b) the GM-food-import-law fact as two independently verifiable statements, without one explaining or being derived from the other. **Limitation/status caution:** Apple-import volumes, tariff treatment and any specific product's GM-approval status change over time; state only the qualitative trade/regulatory facts given here, and verify a current tariff rate or a specific product's approval status from a dated DGFT/FSSAI/GEAC source before citing a number.

5A. TRIMS, International Grains Council and edible-oil import-duty distinctions

- FACT: **TRIMS (Agreement on Trade-Related Investment Measures):** a goods-related WTO

agreement, explicitly linked to GATT rather than a standalone investment-protection treaty, that prohibits investment measures inconsistent with GATT Article III (national treatment) and Article XI (elimination of quantitative restrictions). Its Annex gives an illustrative list of prohibited measures, principally **local-content requirements** (mandating a minimum share of domestically sourced inputs) and **trade-balancing requirements** (tying permitted import volume/value to export volume/value). **Statement-elimination-ready facts:**

- TRIMS covers trade in goods and is GATT-linked - it is not a services agreement (that is GATS) and not an intellectual-property agreement (that is TRIPS).
- TRIMS does not prohibit FDI or investment screening as such; it prohibits the specific listed investment measures that distort trade in goods, not foreign investment itself.
- The Annex list is illustrative, not a closed literal list; an unlisted but functionally similar local-content-type condition is still assessed against the underlying Article III/XI principle. **Limitation/status caution:** treat any current India-specific TRIMS compliance or dispute status as requiring a dated WTO/DGFT source; this file states only the qualitative prohibition architecture.

- FACT: **International Grains Council (IGC):** an intergovernmental organisation - not a United Nations agency and not a food-relief body - that administers the Grains Trade Convention (GTC), the principal international treaty covering trade in grains, rice and oilseeds, to promote market transparency, information-sharing and cooperation among grain-trading countries. India is a member under the GTC, with the Department of Food & Public Distribution as the nodal agency. **Statement-elimination-ready facts:**

- The IGC is not a UN food-relief or food-aid agency; it is an independent intergovernmental grain-trade body headquartered in London.
- The IGC's administrative link to the separate Food Assistance Convention (a distinct legal instrument for food-aid coordination) does not make the IGC itself a relief agency, and India's GTC membership does not by itself make India a party to the Food Assistance Convention.
- The IGC's core function is market transparency, statistics and grain-trade cooperation, not price-setting, procurement or buffer-stock management (those remain India's own FCI/state functions - see Topic 12). **Limitation/status caution:** this file does not record or infer the answer key for the 2024 Prelims "India and the International Grains Council" item; only the qualitative facts above are stated for statement-level elimination.

- FACT: **Edible-oil imports and customs-duty policy distinction:** India meets a majority of its edible-oil consumption through imports (chiefly palm oil, with soybean and sunflower oil), reflecting rainfed, comparatively low-productivity domestic oilseed cultivation rather than an absence of oilseed farming. Government has used the basic customs duty on crude and refined edible oils as an actively and repeatedly revised lever pulling in two directions: raising duty (as in September 2024) to protect domestic oilseed farmers' farm-gate prices when they fall below MSP, and cutting duty (as in mid-2025) to ease retail edible-oil inflation for consumers, while maintaining a crude-versus-refined duty differential intended to favour domestic refining capacity. **Significance:** this is the precise "imported edible oils versus domestic production and customs duty" distinction the routed 2018 Prelims item tests - import dependence and duty direction are a policy choice in tension (farmer-price support versus consumer-inflation control), not a single static trade fact. **Limitation/status caution:** specific duty percentages and the import-dependence share change with each notification and crop year; cite a current rate or dependence percentage only from a dated PIB/CBIC/DGFT/Department of Food & Public Distribution source, never from a remembered figure.

Core limitations and trade-offs

- ANALYSIS: CBAM's actual cost impact on a given Indian exporter depends on the **embedded-emissions intensity of the specific product**, the **prevailing EU ETS allowance price** (which fluctuates) and the evolving CBAM implementing rules (default values, de-minimis thresholds, certificate-surrender timing) - so it cannot be quoted as a fixed ad valorem tariff-equivalent rate.
- ANALYSIS: Appellate Body paralysis and India's non-participation in the MPIA together mean some trade disputes involving India may lack a binding appellate remedy, weakening enforcement predictability even as first-level panel rulings continue.
- ANALYSIS: FTP 2023's shift to remission-based, WTO-compatible export support may be more legally durable but can offer a less immediately visible incentive than the direct incentive schemes it replaced, affecting exporter cash-flow timing.
- ANALYSIS: A rising number of bilateral/plurilateral FTAs (UAE, Australia, EFTA, UK, prospective EU) increases market access but also multiplies differing rules-of-origin and compliance regimes, raising administrative complexity for exporters ("noodle-bowl" effect).
- ANALYSIS: Selective bilateralism after the RCEP withdrawal reduces exposure to the specific concessions India resisted but foregoes deeper regional value-chain integration available through RCEP-style multilateral coverage.
- ANALYSIS: The unresolved public-stockholding/Peace-Clause status leaves India's MSP-based procurement exposed to future WTO challenge risk if a permanent solution is not reached, a standing constraint on food-security policy space.
- ANALYSIS: Diversification of trade partnerships does not by itself fix domestic constraints (logistics cost, standards capacity, input-tariff cascading) that determine whether FTA market access is actually utilised by Indian exporters.

6. Must-Know Facts for Prelims

- FACT: WTO principles include non-discrimination through most-favoured-nation and national-treatment obligations, subject to exceptions.
- FACT: FTAs create preferences among members and require rules of origin to prevent simple trans-shipment.
- FACT: Tariffs protect producers but raise input or consumer costs when imports are used domestically.
- FACT: Anti-dumping action addresses specified unfair pricing injury; it is not a general safeguard against all imports.
- FACT: Countervailing duty addresses subsidised imports causing injury; safeguards address serious injury from import surge without requiring dumping.
- FACT: Services trade can be supplied across borders, through consumption abroad, commercial presence or movement of persons.
- FACT: Trade balance concerns goods; the current account is broader.
- FACT: **EU CBAM** covers six sectors - **cement, iron and steel, aluminium, fertilisers, hydrogen, electricity** - and entered its **definitive (financially enforceable) regime from 1 January 2026** after a 2023-2025 reporting-only transitional phase; iron/steel and aluminium are the sectors of greatest direct relevance to India's EU-bound exports.
- FACT: India has been a regular importer of apples from the USA (an independent trade fact); separately, Indian law (via GEAC and FSSAI) prohibits importing GM food without competent-authority approval, and no blanket approval currently exists - the two facts are independent and neither should be inferred from the other.
- FACT: TRIMS is a goods/GATT-linked WTO agreement prohibiting specified investment measures (chiefly local-content and trade-balancing requirements); it does not cover services or IP and does not ban FDI or

investment screening as such.

- FACT: The International Grains Council administers the Grains Trade Convention as an intergovernmental grain-trade cooperation body; it is not a UN agency and not a food-relief organisation, and India is a GTC member.
- FACT: India imports the majority of its edible-oil requirement (chiefly palm, soybean and sunflower oil); the basic customs duty on crude/refined edible oils has been used in both directions - raised to protect oilseed-farmer prices and cut to ease consumer inflation - so import dependence and duty direction are a live policy trade-off, not a fixed fact.

7. UPSC traps

- WRONG: FTA means zero duty on every product immediately. -> Coverage, schedules, exclusions and phase-downs vary.
- WRONG: MFN means the most favourable tariff for one chosen ally. -> It generally extends equal treatment across WTO members.
- WRONG: Protection always creates self-reliance. -> It can preserve inefficient dependence on protected inputs or technology.
- WRONG: Rules of origin are tariffs. -> They are eligibility criteria for preferences.
- WRONG: A merchandise deficit equals a BoP deficit. -> Services, income, transfers and financial flows also matter.
- WRONG: CBAM is a normal tariff that can be quoted as a fixed percentage. -> It is an emissions-linked certificate obligation tied to the fluctuating EU ETS price and each product's embedded emissions, not a flat customs duty.
- WRONG: CBAM is India's carbon market or an Indian climate-policy instrument. -> It is an EU border-trade instrument aimed at the EU's own carbon-leakage risk; India's response is domestic MRV/CCTS reform (see Topic 25), not a CBAM equivalent.
- WRONG: India does not import apples from the USA, or GM-food import approval is unrelated to that trade fact. -> India does import US apples (a trade fact); the GM-food-import-approval requirement (GEAC/FSSAI) is a separate regulatory fact that neither proves nor explains the trade fact.
- WRONG: TRIMS bans foreign investment or requires investment approval. -> It prohibits specific trade-distorting investment measures (local-content, trade-balancing) under GATT Articles III/XI; it does not ban FDI or investment screening generally.
- WRONG: The International Grains Council is a UN food-relief/food-aid agency. -> It is an independent intergovernmental body administering the Grains Trade Convention for grain-trade cooperation and transparency, not food relief.
- WRONG: India's edible-oil import duty only ever rises to protect farmers, or India has no significant domestic oilseed production. -> Duty has been raised (farmer-price support) and cut (consumer-inflation control) within the same policy cycle, and India does cultivate oilseeds domestically even though import dependence remains high.

8. CURRENT: Economic Survey 2025-26 / current anchor

- CURRENT: Total exports were USD 825.3 billion in FY25 and USD 418.5 billion in H1 FY26.
- CURRENT: The Survey prioritises diversified partnerships, electronics, pharmaceuticals and electrical machinery exports.
- CURRENT: The 2025 GS-III PYQ examined protectionism and bilateralism as challenges to India.

ANALYSIS: **Interpretation caution:** Import substitution measured at the final-product level can conceal deeper dependence on imported inputs, technology and machinery.

9. PYQ application

- ANALYSIS: 2025 GS-III: Challenges as the world shifts from multilateral free trade to protectionism and bilateralism.
- ANALYSIS: 2024 GS-III: Intellectual-property rights in life materials and the gap between patent filing and commercialisation.

- ANALYSIS: 2026 Prelims provisional key links certification and port logistics to premium-market access and trade competitiveness.
- ANALYSIS: **IPR answer route:** distinguish TRIPS minimum standards from domestic innovation systems; explain commercialisation through research quality, technology transfer, finance, regulatory pathways, market discovery, skills and risk appetite rather than patent counts alone.
- ANALYSIS: **CBAM route:** if the question raises climate-linked trade barriers, cite the EU CBAM's definitive-regime start (1 January 2026), its six covered sectors, India's WTO-consistency/CBDR objections, and the limitation that exposure varies with embedded emissions and the EU ETS price; cross-refer Topic 25 for India's own domestic decarbonisation/MRV response.
- ANALYSIS: **2024 Prelims Q92 route:** India's apple imports from the USA and the GM-food import-approval requirement (GEAC/FSSAI) are two independent statements; state each fact on its own terms and its limitation, without inferring one from the other or naming an answer option.

10. Mains angles

- ANALYSIS: Use the framework competitiveness, diversification, GVCs, adjustment support and rules-based diplomacy.
- ANALYSIS: Differentiate strategic resilience from blanket import substitution.
- ANALYSIS: Recommend lower logistics and input costs, standards capacity, predictable trade policy and targeted worker adjustment.

Answer thesis: Trade policy should lower economy-wide costs and build export capability while using time-bound protection only where learning and strategic spillovers are demonstrable.

11. Probable questions

- ANALYSIS: **Prelims:** Distinguish MFN, national treatment, safeguard, anti-dumping duty and rules of origin.
- ANALYSIS: **Mains (10 marks):** How can protection of an upstream industry reduce competitiveness of downstream exports?
- ANALYSIS: **Mains (15 marks):** Formulate India's response to protectionism through diversification, FTAs, GVC integration and domestic adjustment support.

11A. Answer architecture (10/15/20-mark support)

Directive decoder

- "Discuss challenges of protectionism/bilateralism for India" -> requires naming the multilateral weakness (Appellate Body paralysis, MPIA non-participation) plus India's bilateral response (UAE/Australia/EFTA/UK/EU), not a generic "trade is important" answer.
- "Evaluate India's FTA strategy" -> requires distinct, dated agreements with their coverage/limitation, not a list of names without status.
- "Examine WTO agriculture/public-stockholding issue" -> requires the AMS/de-minimis/Peace-Clause mechanism precisely, plus its unresolved status - never claim a permanent solution exists.
- "Discuss/Examine CBAM's implications for India" -> requires the mechanism (embedded-emissions certificates, EU ETS-linked price), the definitive-phase status (from 1 January 2026), the covered sectors most relevant to India (iron/steel, aluminium), India's CBDR-equity and WTO-consistency objections, and the limitation that cost exposure varies with embedded emissions/EU price/evolving rules - never state a fixed CBAM "tariff rate."

Evidence chain (claim -> named evidence -> significance -> limitation) Use the Section 5 bank: multilateral-governance questions draw on the Appellate- Body/MPIA/DGTR units; bilateral-strategy questions draw on the UAE/Australia/EFTA/UK/EU units; agriculture questions draw on the public-stockholding/Peace-Clause unit; climate-linked trade-barrier questions draw on the CBAM unit (definitive regime -> covered sectors -> CBDR/WTO

objection -> embedded-emissions/EU-price limitation).

Counter-evidence and balance Pair every "India signed X agreement" claim with its Core-limitation caution (rules-of-origin complexity, utilisation-rate uncertainty, unresolved multilateral remedy) so the answer reflects genuine balance rather than a scorecard of agreements.

10/15/20-mark scaling

- 10 marks (~150 words): thesis + 2-3 evidence units (e.g., Appellate Body paralysis + one named FTA) + one limitation + verdict.
- 15 marks (~250 words): thesis + rule-versus-relationship structure (multilateral rules -> bilateral/regional agreements -> domestic capability) + 4-5 evidence units + counter-evidence + verdict.
- 20 marks (~250-300 words): add a comparative dimension (multilateralism versus bilateralism as trade strategies, or RCEP-withdrawal versus subsequent FTA signings as a case of selective engagement) + 5-7 evidence units + explicit trade-offs + a fully reasoned verdict.

Reasoned verdict template "As WTO dispute settlement remains impaired (Appellate Body paralysis, India outside the MPIA), India has pursued selective bilateral/regional agreements (UAE, Australia, EFTA, UK CETA, prospective EU FTA) to sustain market access, but [name the specific utilisation/compliance/food-security constraint the question asks about] means bilateralism is a partial, not complete, substitute for a functioning multilateral system - therefore [qualified, directive-matching conclusion]."

12. Study links

- FACT: Advanced companion: . . /advanced/20_Foreign-Trade-WTO-FTAs-and-Protectionism.md.
- FACT: 19_Balance-of-Payments-Exchange-Rates-and-Forex-Reserves.md - trade and current-account effects.
- FACT: 17_MSMEs-PLI-Semiconductors-and-Manufacturing-Strategy.md - domestic capability and GVCs.
- FACT: 18_Infrastructure-PPPs-Logistics-and-Public-Investment.md - logistics cost and port connectivity.
- FACT: 28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md - Agriculture Agreement domestic-support boxes, AMS, de minimis and public stockholding.
- FACT: 25_Climate-Economics-Green-Finance-and-Circular-Economy.md - India's domestic MRV/CCTS decarbonisation response to CBAM-type external carbon-border pressure.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2024-2025.md, _PYQ-ROUTING-PRELIMS-2024-2025.md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024, 2025
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 3

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	59	India and the International Grains Council	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	92	India's apple imports from the USA; GM-food import law	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	GS-III	2	Challenges to the Indian economy amid protectionism and bilateralism	Discuss · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- India and the International Grains Council
- India's apple imports from the USA; GM-food import law
- Challenges to the Indian economy amid protectionism and bilateralism

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md, _PYQ-ROUTING-PRELIMS-2018-2023.md.

Answer-key rule: The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 7

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	GS-III	12	Protectionism and currency manipulation impact on macroeconomic stability	Discuss · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2018	Prelims GS-I	10	Imported edible oils versus domestic production and customs duty	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2018	Prelims GS-I	26	Geographical Indications of Goods Act 1999 treaty compliance	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	37	Largest global rice exporter in recent years	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	84	Highest value agricultural commodity imported by India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	52	India international merchandise services trade and deficit	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	56	TRIMS trade-related investment measures WTO provisions	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Protectionism and currency manipulation impact on macroeconomic stability
- Imported edible oils versus domestic production and customs duty
- Geographical Indications of Goods Act 1999 treaty compliance
- Largest global rice exporter in recent years
- Highest value agricultural commodity imported by India
- India international merchandise services trade and deficit
- TRIMS trade-related investment measures WTO provisions

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CLOSING RECALL FLOW - CORE SYNTHESIS - WTO DISPUTE SETTLEMENT, STOCKHOLDING AND RESILIENCE

START / CONCEPT: CORE SYNTHESIS - WTO dispute settlement, stockholding and resilience

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v

EXACT TERMS: CORE SYNTHESIS · WTO dispute settlement · stockholding · resilience · Mechanism chain
· Qualified use

|

v

MECHANISM / ARGUMENT: Mechanism chain: Public stockholding boundary - Resilience versus autarky
Qualified use: Prefer diversified capability, predictable rules and adjustment support over permanent protection.

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v

CONSEQUENCE / CONTRAST: Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

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v

UPSC TRAP / ANSWER-USE: Limitation: Paralysis of the Appellate Body does not stop WTO panels from issuing first-level rulings; it only removes the binding appeal stage, so dispute settlement continues in a weakened, not fully absent, form. FACT: Claim: A subset of WTO members created a workaround arbitration mechanism, and India has chosen to remain outside it.

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v

ANSWER-GRABBING FORMULATION: Reasoned verdict template "As WTO dispute settlement remains impaired (Appellate Body paralysis, India outside the MPIA), India has pursued selective bilateral/regional agreements (UAE, Australia, EFTA, UK CETA, prospective EU FTA) to sustain market access, but [name the specific utilisation/compliance/food-security constraint the question asks about] means bilateralism is a partial, not complete, substitute for a functioning multilateral system - therefore [qualified, directive-matching conclusion]".

ECONOMY DEEP-REVIEW CORE CONTROL

- **Must remember:** Trade policy combines tariffs, non-tariff measures, services, rules of origin, safeguards, subsidies and dispute rules across WTO and preferential agreements, with sectoral distribution and adjustment costs.
- **Close distinction:** FTA signature is not entry into force or utilisation, tariff binding is not applied tariff, MFN is not zero duty, trade remedy is not ordinary protection, and gross trade change is not agreement causation.
- **Formula / status / evidence / causal limit:** Specify agreement parties, product/service scope, rule and operative date; qualify WTO boxes, limits, de minimis, peace-clause or special-treatment claims by agreement text and member status, avoiding invented thresholds.

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Trade-policy transmission?

A. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. B. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. C. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. D. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.

Answer: A. Explanation: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Trade-policy transmission?

A. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. B. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. C. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. D. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Answer: B. Explanation: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Trade-policy transmission without losing its vintage, basket or legal status?

A. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. B. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. C. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. D. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

Answer: C. Explanation: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Trade-policy transmission?

A. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. B. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. C. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. D. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.

Answer: D. Explanation: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Merchandise and services boundary?

A. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. B. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. C. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. D. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.

Answer: A. Explanation: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Merchandise and services boundary?

A. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. B. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. C. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. D. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

Answer: B. Explanation: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Merchandise and services boundary without losing its vintage, basket or legal status?

A. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. B. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. C. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. D. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.

Answer: C. Explanation: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Merchandise and services boundary?

A. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. B. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. C. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. D. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

Answer: D. Explanation: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies Tariff boundary?

A. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. B. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. C. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. D. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.

Answer: A. Explanation: A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of Tariff boundary?

A. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. B. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. C. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. D. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

Answer: B. Explanation: A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses Tariff boundary without losing its vintage, basket or legal status?

A. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. B. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. C. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. D. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

Answer: C. Explanation: A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about Tariff boundary?

A. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. B. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. C. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. D. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Answer: D. Explanation: A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Non-tariff measure boundary?

A. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. B. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. C. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. D. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

Answer: A. Explanation: A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Non-tariff measure boundary?

A. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. B. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. C. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. D. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

Answer: B. Explanation: A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Non-tariff measure boundary without losing its vintage, basket or legal status?

A. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. B. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. C. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. D. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

Answer: C. Explanation: A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Non-tariff measure boundary?

A. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. B. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. C. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. D. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.

Answer: D. Explanation: A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies MFN treatment?

A. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. B. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. C. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. D. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

Answer: A. Explanation: WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of MFN treatment?

A. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. B. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. C. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. D. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

Answer: B. Explanation: WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses MFN treatment without losing its vintage, basket or legal status?

A. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. B. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. C. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. D. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

Answer: C. Explanation: WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about MFN treatment?

A. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. B. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. C. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. D. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.

Answer: D. Explanation: WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies National treatment?

A. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. B. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. C. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. D. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.

Answer: A. Explanation: WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of National treatment?

A. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. B. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. C. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. D. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

Answer: B. Explanation: WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses National treatment without losing its vintage, basket or legal status?

A. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. B. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. C. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. D. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

Answer: C. Explanation: WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about National treatment?

A. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. B. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. C. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. D. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.

Answer: D. Explanation: WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Bound and applied tariffs?

A. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. B. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. C. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. D. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

Answer: A. Explanation: A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Bound and applied tariffs?

A. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. B. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. C. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. D. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

Answer: B. Explanation: A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Bound and applied tariffs without losing its vintage, basket or legal status?

A. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. B. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. C. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. D. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

Answer: C. Explanation: A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Bound and applied tariffs?

A. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. B. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. C. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. D. A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.

Answer: D. Explanation: A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies FTA legal and status boundary?

A. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. B. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. C. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. D. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

Answer: A. Explanation: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of FTA legal and status boundary?

A. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. B. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. C. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. D. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

Answer: B. Explanation: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses FTA legal and status boundary without losing its vintage, basket or legal status?

A. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. B. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. C. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. D. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

Answer: C. Explanation: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about FTA legal and status boundary?

A. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. B. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. C. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. D. An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

Answer: D. Explanation: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Rules of origin?

A. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. B. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. C. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. D. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

Answer: A. Explanation: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Rules of origin?

A. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. B. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. C. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. D. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

Answer: B. Explanation: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Rules of origin without losing its vintage, basket or legal status?

A. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. B. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. C. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. D. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.

Answer: C. Explanation: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Rules of origin?

A. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. B. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. C. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. D. Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.

Answer: D. Explanation: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Trade creation and diversion?

A. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. B. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. C. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. D. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

Answer: A. Explanation: Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Trade creation and diversion?

A. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. B. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. C. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. D. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

Answer: B. Explanation: Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Trade creation and diversion without losing its vintage, basket or legal status?

A. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. B. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. C. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. D. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

Answer: C. Explanation: Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Trade creation and diversion?

A. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. B. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. C. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. D. Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

Answer: D. Explanation: Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Trade-remedy categories?

A. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. B. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. C. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. D. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

Answer: A. Explanation: Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic

protection tool. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Trade-remedy categories?

A. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. B. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. C. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. D. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

Answer: B. Explanation: Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Trade-remedy categories without losing its vintage, basket or legal status?

A. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. B. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. C. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. D. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

Answer: C. Explanation: Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Trade-remedy categories?

A. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. B. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. C. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. D. Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.

Answer: D. Explanation: Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies DGTR and notification boundary?

A. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. B. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. C. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. D. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.

Answer: A. Explanation: The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of DGTR and notification boundary?

A. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. B. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. C. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. D. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

Answer: B. Explanation: The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses DGTR and notification boundary without losing its vintage, basket or legal status?

A. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. B. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. C. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. D. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

Answer: C. Explanation: The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about DGTR and notification boundary?

A. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. B. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. C. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. D. The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

Answer: D. Explanation: The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies TRIMS scope?

A. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. B. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. C. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. D. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

Answer: A. Explanation: The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of TRIMS scope?

A. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. B. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. C. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. D. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

Answer: B. Explanation: The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses TRIMS scope without losing its vintage, basket or legal status?

A. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. B. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. C. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. D. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.

Answer: C. Explanation: The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about TRIMS scope?

A. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. B. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. C. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. D. The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.

Answer: D. Explanation: The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty. The other options belong to different measures, vintages, baskets,

instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies TRIPS and domestic rights?

A. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. B. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. C. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. D. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

Answer: A. Explanation: TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of TRIPS and domestic rights?

A. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. B. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. C. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. D. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

Answer: B. Explanation: TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses TRIPS and domestic rights without losing its vintage, basket or legal status?

A. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. B. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. C. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. D. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.

Answer: C. Explanation: TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about TRIPS and domestic rights?

A. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. B. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. C. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. D. TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.

Answer: D. Explanation: TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies International Grains Council?

A. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. B. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. C. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. D. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.

Answer: A. Explanation: The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of International Grains Council?

A. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. B. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. C. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. D. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.

Answer: B. Explanation: The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses International Grains Council without losing its vintage, basket or legal status?

A. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. B. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. C. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. D. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Answer: C. Explanation: The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about International Grains Council?

A. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. B. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. C. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. D. The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.

Answer: D. Explanation: The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Protection and downstream competitiveness?

A. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. B. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. C. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. D. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Answer: A. Explanation: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Protection and downstream competitiveness?

A. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. B. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. C. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. D. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

Answer: B. Explanation: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Protection and downstream competitiveness without losing its vintage, basket or legal status?

A. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. B. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. C. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. D. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Answer: C. Explanation: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Protection and downstream competitiveness?

A. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. B. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. C. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. D. Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.

Answer: D. Explanation: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies GVC capability conditions?

A. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. B. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. C. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. D. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

Answer: A. Explanation: Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of GVC capability conditions?

A. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. B. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. C. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. D. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Answer: B. Explanation: Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses GVC capability conditions without losing its vintage, basket or legal status?

A. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. B. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. C. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. D. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

Answer: C. Explanation: Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about GVC capability conditions?

A. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. B. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. C. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. D. Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.

Answer: D. Explanation: Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies WTO dispute-settlement status?

A. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. B. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. C. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. D. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.

Answer: A. Explanation: The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of WTO dispute-settlement status?

A. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. B. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. C. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. D. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.

Answer: B. Explanation: The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses WTO dispute-settlement status without losing its vintage, basket or legal status?

A. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. B. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. C. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. D. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Answer: C. Explanation: The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about WTO dispute-settlement status?

A. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. B. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. C. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. D. The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.

Answer: D. Explanation: The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Public stockholding boundary?

A. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. B. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. C. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. D. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.

Answer: A. Explanation: WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Public stockholding boundary?

A. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. B. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. C. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. D. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

Answer: B. Explanation: WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Public stockholding boundary without losing its vintage, basket or legal status?

A. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. B. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. C. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. D. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Answer: C. Explanation: WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Public stockholding boundary?

A. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. B. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. C. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. D. WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Answer: D. Explanation: WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Resilience versus autarky?

A. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. B. A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. C. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. D. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.

Answer: A. Explanation: Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Resilience versus autarky?

A. Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. B. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. C. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. D. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Answer: B. Explanation: Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Resilience versus autarky without losing its vintage, basket or legal status?

A. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. B. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. C. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. D. A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Answer: C. Explanation: Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Resilience versus autarky?

A. A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. B. WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. C. WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. D. Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

Answer: D. Explanation: Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

Audited ledgers route the 2018 and 2025 GS-III protectionism demands and objective demands on edible oils, geographical indications, merchandise/services trade, TRIMS, the International Grains Council and apple/GM-food distinctions. Objective answer letters are not reproduced or inferred.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2025 GS-III: Challenges as the world shifts from multilateral free trade to protectionism and bilateralism.
- ANALYSIS: 2024 GS-III: Intellectual-property rights in life materials and the gap between patent filing and commercialisation.
- ANALYSIS: 2026 Prelims provisional key links certification and port logistics to premium-market access and trade competitiveness.
- ANALYSIS: **IPR answer route**: distinguish TRIPS minimum standards from domestic innovation systems; explain commercialisation through research quality, technology transfer, finance, regulatory pathways, market discovery, skills and risk appetite rather than patent counts alone.
- ANALYSIS: **CBAM route**: if the question raises climate-linked trade barriers, cite the EU CBAM's definitive-regime start (1 January 2026), its six covered sectors, India's WTO-consistency/CBDR objections, and the limitation that exposure varies with embedded emissions and the EU ETS price; cross-refer Topic 25 for India's own domestic decarbonisation/MRV response.
- ANALYSIS: **2024 Prelims Q92 route**: India's apple imports from the USA and the GM-food import-approval requirement (GEAC/FSSAI) are two independent statements; state each fact on its own terms and its limitation, without inferring one from the other or naming an answer option.

Demand decoding: The directive **answer** requires a direct position on “9. PYQ application”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: The answer must resolve the Economy demand in “9. PYQ application”.

Analytical body:

1. **Claim and named evidence:** ANALYSIS: 2025 GS-III: Challenges as the world shifts from multilateral free trade to **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** ANALYSIS: 2024 GS-III: Intellectual-property rights in life materials and the gap between **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** ANALYSIS: 2026 Prelims provisional key links certification and port logistics to premium-market **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** ANALYSIS: IPR answer route: distinguish TRIPS minimum standards from domestic innovation **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** systems; explain commercialisation through research quality, technology transfer, **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status,

source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

6. **Claim and named evidence:** finance, regulatory pathways, market discovery, skills and risk appetite rather than **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: The answer must resolve the Economy demand in “9. PYQ application”.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “9. PYQ application”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2024-2025.md, _PYQ-ROUTING-PRELIMS-2024-2025.md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024, 2025
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 3

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	59	India and the International Grains Council	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	92	India's apple imports from the USA; GM-food import law	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2025	GS-III	2	Challenges to the Indian economy amid protectionism and bilateralism	Discuss · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- India and the International Grains Council
- India's apple imports from the USA; GM-food import law

- Challenges to the Indian economy amid protectionism and bilateralism

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md, _PYQ-ROUTING-PRELIMS-2018-2023.md.

Answer-key rule: The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 7

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	GS-III	12	Protectionism and currency manipulation impact on macroeconomic stability	Discuss · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2018	Prelims GS-I	10	Imported edible oils versus domestic production and customs duty	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2018	Prelims GS-I	26	Geographical Indications of Goods Act 1999 treaty compliance	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	37	Largest global rice exporter in recent years	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	84	Highest value agricultural commodity imported by India	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	52	India international merchandise services trade and deficit	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	Prelims GS-I	56	TRIMS trade-related investment measures WTO provisions	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Protectionism and currency manipulation impact on macroeconomic stability
- Imported edible oils versus domestic production and customs duty
- Geographical Indications of Goods Act 1999 treaty compliance
- Largest global rice exporter in recent years
- Highest value agricultural commodity imported by India
- India international merchandise services trade and deficit
- TRIMS trade-related investment measures WTO provisions

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2025 GS-III: Challenges as the world shifts from multilateral free trade to protectionism and bilateralism.
- ANALYSIS: 2024 GS-III: IPR in life materials and why high patent filing need not become high commercialisation.
- ANALYSIS: 2026 Prelims provisional key links certification and port logistics to premium-market access and trade competitiveness.
- ANALYSIS: **IPR answer engine:** TRIPS sets a minimum-rule floor; domestic commercialisation requires viable research, technology-transfer offices, proof-of-concept finance, regulatory approval, manufacturing scale, procurement/market access and risk capital.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md.

- **Years represented:** 2018
- **Paper(s):** GS-III
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	GS-III	12	Protectionism and currency manipulation impact on macroeconomic stability	Discuss · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Protectionism and currency manipulation impact on macroeconomic stability

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2018 GS-III

Demand: Protectionism and currency manipulation impact on macroeconomic stability.

Status: Official-paper demand routed in the audited 2018-2023 GS-III ledger; no official model answer is claimed.

Model solution: Trade-policy transmission: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.

Merchandise and services boundary: Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. **Tariff boundary:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.

Protection and downstream competitiveness: Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 1 - 2018 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Trade-policy transmission: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Merchandise and services boundary:** Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. **Tariff boundary:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Protection and downstream competitiveness:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Protectionism and currency manipulation impact on macroeconomic stability. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Official-paper demand routed in the audited 2018-2023 GS-III ledger; no official model answer is claimed. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Trade-policy transmission: A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Merchandise and services boundary:** Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account. **Tariff boundary:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Protection and downstream competitiveness:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "PYQ DEMAND CARD 1 - 2018 GS-III", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

PYQ DEMAND CARD 2 - 2025 GS-III

Demand: Challenges to the Indian economy amid protectionism and bilateralism.

Status: Official-paper demand routed in the audited 2024-2025 GS-III ledger; answer uses only source-bounded categories.

Model solution: FTA legal and status boundary: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Rules of origin:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Trade creation and diversion:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **GVC capability conditions:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **WTO dispute-settlement status:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 2 - 2025 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: FTA legal and status boundary: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Rules of origin:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Trade creation and diversion:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **GVC capability conditions:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **WTO dispute-settlement status:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

- 1. Claim and named evidence:** Demand: Challenges to the Indian economy amid protectionism and bilateralism. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
- 2. Claim and named evidence:** Status: Official-paper demand routed in the audited 2024-2025 GS-III ledger; answer uses only source-bounded categories. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: FTA legal and status boundary: An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

Rules of origin: Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Trade creation and diversion:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **GVC capability conditions:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **WTO dispute-settlement status:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "PYQ DEMAND CARD 2 - 2025 GS-III", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish MFN treatment, national treatment and an FTA preference. Answer in about 150 words.

Model thesis: Claim: MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.
- WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.
- An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.

Qualified conclusion: Claim: MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to

agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Distinguish MFN treatment, national treatment and an FTA preference. Answer in about 150...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status,

source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

3. **Claim and named evidence:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish MFN treatment, national treatment and an FTA preference. Answer in about 150...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why can protection of an upstream industry reduce downstream export competitiveness? Answer in about 150 words.

Model thesis: Claim: Tariff boundary. **Named evidence/example:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream

competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.
- Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.
- Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.

Qualified conclusion: Claim: Tariff boundary. **Named evidence/example:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Why can protection of an upstream industry reduce downstream export competitiveness? Answer...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Tariff boundary. **Named evidence/example:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output,

prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** Tariff boundary. **Named evidence/example:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why can protection of an upstream industry reduce downstream export competitiveness? Answer...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Compare anti-dumping, countervailing and safeguard action. Answer in about 250 words.

Model thesis: Claim: Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** DGTR and notification boundary. **Named evidence/example:** The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.
- The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.

Qualified conclusion: Claim: Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** DGTR and notification boundary. **Named evidence/example:** The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **compare** requires a direct position on “Compare anti-dumping, countervailing and safeguard action. Answer in about 250 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** DGTR and notification boundary. **Named evidence/example:** The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** DGTR and notification boundary. **Named evidence/example:** The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "Compare anti-dumping, countervailing and safeguard action. Answer in about 250 words.", replace the weakest catalogue point with one exact formula or classification, named institution/instrument,

balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Evaluate FTAs through legal status, origin rules, trade creation and trade diversion. Answer in about 250 words.

Model thesis: **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Rules of origin. **Named evidence/example:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade creation and diversion. **Named evidence/example:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.
- Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.
- Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.

Qualified conclusion: **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Rules of origin. **Named evidence/example:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade creation and diversion. **Named evidence/example:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **evaluate** requires a direct position on "Evaluate FTAs through legal status, origin rules, trade creation and trade diversion. Answer...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Rules of origin. **Named evidence/example:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade creation and diversion. **Named evidence/example:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** FTA legal and status boundary. **Named evidence/example:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Rules of origin. **Named evidence/example:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial

stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade creation and diversion. **Named evidence/example:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Evaluate FTAs through legal status, origin rules, trade creation and trade diversion. Answer...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: How should India respond to protectionism without moving towards indiscriminate autarky? Answer in about 300 words.

Model thesis: **Claim:** Trade-policy transmission. **Named evidence/example:** A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Non-tariff measure boundary. **Named evidence/example:** A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices,

distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Resilience versus autarky. **Named evidence/example:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.
- A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.
- Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.
- Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.
- The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.
- Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

Qualified conclusion: Claim: Trade-policy transmission. **Named evidence/example:** A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Non-tariff measure boundary. **Named evidence/example:** A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Resilience versus autarky. **Named evidence/example:**

Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “How should India respond to protectionism without moving towards indiscriminate autarky?...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Trade-policy transmission. **Named evidence/example:** A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Non-tariff measure boundary. **Named evidence/example:** A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Resilience versus autarky. **Named evidence/example:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status,

source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
6. **Claim and named evidence:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Trade-policy transmission. **Named evidence/example:** A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Non-tariff measure boundary. **Named evidence/example:** A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Protection and downstream competitiveness. **Named evidence/example:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or

legal perimeter rather than generalise beyond the source. **Claim:** GVC capability conditions. **Named evidence/example:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Resilience versus autarky. **Named evidence/example:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “How should India respond to protectionism without moving towards indiscriminate autarky?...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Assess the WTO's continuing relevance amid weakened appellate dispute settlement. Answer in about 300 words.

Model thesis: **Claim:** MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Bound and applied tariffs. **Named evidence/example:** A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard

actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding boundary. **Named evidence/example:** WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.
- WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.
- A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.
- Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.
- The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.
- WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Qualified conclusion: **Claim:** MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Bound and applied tariffs. **Named evidence/example:** A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the

economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding boundary. **Named evidence/example:** WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **assess** requires a direct position on “Assess the WTO's continuing relevance amid weakened appellate dispute settlement. Answer in...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** National treatment. **Named evidence/example:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Bound and applied tariffs. **Named evidence/example:** A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Trade-remedy categories. **Named evidence/example:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** WTO dispute-settlement status. **Named evidence/example:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source. **Claim:** Public stockholding boundary. **Named evidence/example:** WTO agriculture rules and the interim peace-clause route for eligible public-stockholding

programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope, implementation stage, stock-flow distinction or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
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Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** MFN treatment. **Named evidence/example:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility, crop and geography scope,

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Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

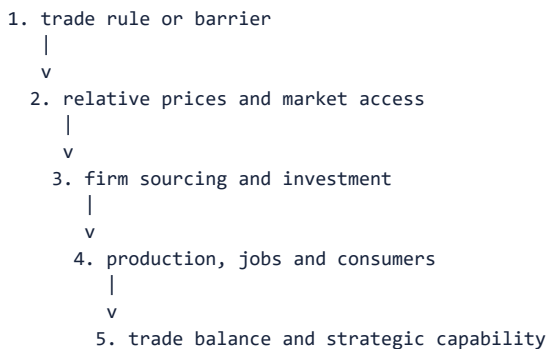
Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Assess the WTO's continuing relevance amid weakened appellate dispute settlement. Answer in...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

Subject: Economy | **Tier:** Advanced | **GS Paper:** GS-III + Prelims. **Core area:** Trade policy. **Grounded in:** Ramesh Singh, relevant chapters; Economic Survey 2025-26; audited UPSC Economy PYQs (2024-2026 Prelims and 2024-2025 Mains). **FACT:** = source-grounded | **ANALYSIS:** = inference/analysis | **CURRENT:** = current Survey/current-affairs hook. *Companion:*
../basic/20_Foreign-Trade-WTO-FTAs-and-Protectionism.md.

1. Architecture



Analytical claim: Trade policy should lower economy-wide costs and build export capability while using time-bound protection only where learning and strategic spillovers are demonstrable.

2. Concepts and distinctions

Concept	Precise meaning
FACT: Tariff	Tax imposed on imported goods.
FACT: Non-tariff measure	Regulatory measure affecting trade, including standards, quotas or procedures.
FACT: FTA	Agreement reducing trade barriers among members under agreed coverage and rules.
FACT: Rules of origin	Criteria determining where a product originates for preferential treatment.
FACT: Protectionism	Use of barriers or preferences to shelter domestic producers from external competition.
FACT: TRIPS	WTO agreement setting minimum intellectual-property standards; patent grant and enforcement remain domestic legal processes.

3. Detailed transmission

1. Tariffs, standards and trade agreements change landed prices and market access.
2. Firms respond by altering suppliers, scale, technology, product quality and investment location.
3. Rules of origin determine whether a product qualifies for an FTA preference.
4. Trade exposure redistributes gains and losses among consumers, exporters, import-competing firms and workers.
5. Adjustment support, logistics and domestic capability decide whether openness produces upgrading or persistent vulnerability.

Deeper analytical layers

- **ANALYSIS:** Comparative advantage explains gains from trade, while strategic trade arguments focus on scale, learning and externalities.
- **ANALYSIS:** Effective protection can exceed the nominal tariff when output protection combines with low input duties, or reverse when inputs are taxed.

- ANALYSIS: GVC participation depends on predictable customs, logistics, standards, imported inputs and investment rules.
- ANALYSIS: Trade remedies require evidence of injury and causal linkage under applicable rules.
- ANALYSIS: Digital trade adds data, localisation, source-code, taxation and platform-regulation issues.
- ANALYSIS: Resilience policy should diversify suppliers and build capability rather than pursue indiscriminate autarky.

4. Institutional architecture

- FACT: **WTO**: provides multilateral trade rules, negotiation forums and dispute-settlement architecture.
- FACT: **Department of Commerce**: negotiates trade agreements and administers trade-policy instruments.
- FACT: **DGTR**: investigates specified trade-remedy cases under applicable law.
- FACT: **Customs and standards or testing bodies**: implement border treatment, origin verification and technical compliance.

5. Indian applications and boundary cases

- ANALYSIS: A high tariff on an imported component can protect one upstream producer while making downstream exports less competitive.
- ANALYSIS: Rules of origin prevent goods from a non-member merely passing through an FTA partner to obtain preference.
- ANALYSIS: A sanitary standard may protect health legitimately or become a disguised barrier if discriminatory and unsupported by evidence.

6. Limitations and trade-offs

- ANALYSIS: Openness lowers cost and expands markets but exposes firms and workers to adjustment shocks.
- ANALYSIS: Protection supports learning yet can create permanent lobbying and weak productivity.
- ANALYSIS: Deep FTAs improve access while narrowing domestic regulatory autonomy in covered areas.
- ANALYSIS: Export restrictions protect domestic supply briefly but weaken producer incentives and buyer trust.
- ANALYSIS: Standards protect health and quality but can function as disguised barriers if discriminatory.

ANALYSIS: **Boundary condition**: Import substitution measured at the final-product level can conceal deeper dependence on imported inputs, technology and machinery.

7. Must-Know Facts for Advanced Prelims

- FACT: WTO principles include non-discrimination through most-favoured-nation and national-treatment obligations, subject to exceptions.
- FACT: FTAs create preferences among members and require rules of origin to prevent simple trans-shipment.
- FACT: Tariffs protect producers but raise input or consumer costs when imports are used domestically.
- FACT: Anti-dumping action addresses specified unfair pricing injury; it is not a general safeguard against all imports.

- FACT: Countervailing duty addresses subsidised imports causing injury; safeguards respond to serious import-surge injury without a dumping finding.
- FACT: Services trade can be supplied across borders, through consumption abroad, commercial presence or movement of persons.
- FACT: Trade balance concerns goods; the current account is broader.

8. Advanced Prelims traps

- WRONG: FTA means zero duty on every product immediately. -> Coverage, schedules, exclusions and phase-downs vary.
- WRONG: MFN means the most favourable tariff for one chosen ally. -> It generally extends equal treatment across WTO members.
- WRONG: Protection always creates self-reliance. -> It can preserve inefficient dependence on protected inputs or technology.
- WRONG: Rules of origin are tariffs. -> They are eligibility criteria for preferences.
- WRONG: A merchandise deficit equals a BoP deficit. -> Services, income, transfers and financial flows also matter.

9. CURRENT: Survey 2025-26 analytical application

Verified current anchor	Topic-specific analytical use
CURRENT: Total exports were USD 825.3 billion in FY25 and USD 418.5 billion in H1 FY26.	Separate merchandise and services drivers within total exports and test diversification by product and destination.
CURRENT: The Survey prioritises diversified partnerships, electronics, pharmaceuticals and electrical machinery exports.	The priority sectors illustrate capability-led export strategy rather than indiscriminate import replacement.
CURRENT: The 2025 GS-III PYQ examined protectionism and bilateralism as challenges to India.	Use the PYQ to balance resilience, FTA strategy, WTO engagement and support for affected firms and workers.

10. PYQ-based analytical application

- ANALYSIS: 2025 GS-III: Challenges as the world shifts from multilateral free trade to protectionism and bilateralism.
- ANALYSIS: 2024 GS-III: IPR in life materials and why high patent filing need not become high commercialisation.
- ANALYSIS: 2026 Prelims provisional key links certification and port logistics to premium-market access and trade competitiveness.
- ANALYSIS: **IPR answer engine:** TRIPS sets a minimum-rule floor; domestic commercialisation requires viable research, technology-transfer offices, proof-of-concept finance, regulatory approval, manufacturing scale, procurement/market access and risk capital.

11. Mains-ready framework

Central thesis: Trade policy should lower economy-wide costs and build export capability while using time-bound protection only where learning and strategic spillovers are demonstrable.

1. Define **Tariff** and distinguish it from **Non-tariff measure**.
2. Firms respond by altering suppliers, scale, technology, product quality and investment location.
3. WTO: provides multilateral trade rules, negotiation forums and dispute-settlement architecture.
4. Openness lowers cost and expands markets but exposes firms and workers to adjustment shocks.

5. Recommend lower logistics and input costs, standards capacity, predictable trade policy and targeted worker adjustment.

12. Probable questions

- ANALYSIS: **Prelims**: Distinguish MFN, national treatment, safeguard, anti-dumping duty and rules of origin.
- ANALYSIS: **Mains (10 marks)**: How can protection of an upstream industry reduce competitiveness of downstream exports?
- ANALYSIS: **Mains (15 marks)**: Formulate India's response to protectionism through diversification, FTAs, GVC integration and domestic adjustment support.

13. Study links

- FACT: Foundation companion: [../basic/20_Foreign-Trade-WTO-FTAs-and-Protectionism.md](#).
- FACT: [19_Balance-of-Payments-Exchange-Rates-and-Forex-Reserves.md](#) - trade and current-account effects.
- FACT: [17_MSMEs-PLI-Semiconductors-and-Manufacturing-Strategy.md](#) - domestic capability and GVCs.
- FACT: [18_Infrastructure-PPPs-Logistics-and-Public-Investment.md](#) - logistics cost and port connectivity.
- FACT: [28_Direct-and-Indirect-Farm-Subsidies-and-WTO-Rules.md](#) - dedicated farm-support/WTO owner.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: [_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md](#).

- **Years represented:** 2018
- **Paper(s):** GS-III
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	GS-III	12	Protectionism and currency manipulation impact on macroeconomic stability	Discuss · 15 marks · 250 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Protectionism and currency manipulation impact on macroeconomic stability

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

CONSOLIDATED REGISTER NOTES

Foreign Trade, WTO, FTAs and Protectionism: RAPID CONCEPT, INSTITUTION AND STATUS MAP

1. **Trade-policy transmission:** A tariff, standard or agreement first changes landed prices and market access, then affects sourcing, investment, output, jobs and consumers; a border measure is not itself an outcome.
2. **Merchandise and services boundary:** Merchandise trade records cross-border goods, while services trade follows service-supply concepts; neither should be silently substituted for total exports, imports or the broader current account.
3. **Tariff boundary:** A tariff is a customs tax on imported goods; its producer protection can coexist with higher costs for consumers and downstream firms using the import as an input.
4. **Non-tariff measure boundary:** A non-tariff measure may pursue a legitimate health, safety or quality objective, but its design and application determine whether it becomes discriminatory or unnecessarily trade-restrictive.
5. **MFN treatment:** WTO most-favoured-nation treatment generally requires a trade advantage granted to one member to be extended to other members, subject to agreement-specific exceptions.
6. **National treatment:** WTO national treatment concerns internal treatment after an imported product or service has entered the market; charging an ordinary border tariff is not by itself a national-treatment violation.
7. **Bound and applied tariffs:** A WTO bound tariff is a negotiated ceiling, while the applied tariff is the rate actually charged; policy space exists when the applied rate remains below the binding.
8. **FTA legal and status boundary:** An FTA creates preferences under agreed coverage, schedules and exceptions; signed, ratified, entered-into-force and under-negotiation are different legal statuses.
9. **Rules of origin:** Rules of origin determine whether a good qualifies for an FTA preference and are distinct from the preferential tariff rate itself.
10. **Trade creation and diversion:** Trade creation replaces higher-cost domestic supply with lower-cost partner supply, while trade diversion replaces a lower-cost non-member source with a higher-cost preferred partner.
11. **Trade-remedy categories:** Anti-dumping, countervailing and safeguard actions have different legal predicates: dumping, subsidisation and serious injury from an import surge must not be treated as one generic protection tool.
12. **DGTR and notification boundary:** The Directorate General of Trade Remedies investigates specified Indian trade-remedy cases, but an investigation or recommendation is not the same as a final notified duty.
13. **TRIMS scope:** The WTO Agreement on Trade-Related Investment Measures concerns goods-related measures inconsistent with GATT disciplines, including local-content and trade-balancing requirements; it is not a general investment treaty.
14. **TRIPS and domestic rights:** TRIPS sets minimum intellectual-property standards, while grant, validity, enforcement and commercialisation of a patent or geographical indication remain governed through domestic institutions and law.
15. **International Grains Council:** The International Grains Council is an intergovernmental grain-trade and market-transparency body, not a UN relief agency, domestic procurement authority or price-setting organisation.
16. **Protection and downstream competitiveness:** Protecting an upstream input can weaken downstream export competitiveness when the input cost rises, so nominal protection must be assessed across the value chain.
17. **GVC capability conditions:** Global value-chain participation depends on reliable logistics, customs, standards, imported inputs, finance, technology and investment predictability rather than low wages alone.
18. **WTO dispute-settlement status:** The WTO Appellate Body has been unable to hear new appeals since December 2019, while first-level panels and notified appeals continue; weakened appellate review is not the disappearance of all dispute settlement.
19. **Public stockholding boundary:** WTO agriculture rules and the interim peace-clause route for eligible public-stockholding programmes must be kept distinct from a permanent negotiated solution, which the owner records as unresolved.
20. **Resilience versus autarky:** Trade resilience diversifies suppliers, markets and capabilities; it does not require indiscriminate self-sufficiency or permanent economy-wide protection.

Foreign Trade, WTO, FTAs and Protectionism: SCOPE, ELIGIBILITY, STOCK-FLOW AND IMPLEMENTATION TRAPS

- Do not equate merchandise trade, services trade, total trade and the current account.
- Do not quote a tariff without distinguishing the bound ceiling from the applied rate.
- Do not treat MFN and national treatment as the same stage of non-discrimination.
- Do not describe every FTA product as duty-free immediately or ignore legal status.
- Do not treat rules of origin as a tariff or proof of domestic value addition.
- Do not merge dumping, subsidisation and import-surge safeguards.
- Do not turn an investigation or recommendation into a notified remedy.
- Do not infer a WTO dispute outcome or PYQ answer letter from a routed demand.
- Do not call the Appellate Body impasse the end of every WTO panel process.
- Do not use protectionism and resilience as synonyms.

Foreign Trade, WTO, FTAs and Protectionism: ANSWER-WRITING SPINE

DEFINE THE MEASURE OR INSTITUTION AND FIX ITS COVERAGE

- > STATE FORMULA, CROP, GEOGRAPHY, ELIGIBILITY OR LEGAL POWER
- > NAME THE PERIOD, ESTIMATE VINTAGE AND ISSUING BODY
- > SEPARATE ANNOUNCEMENT, IMPLEMENTATION, STOCK AND FLOW OUTCOMES
- > ADD ONE INDIA-SPECIFIC EVIDENCE UNIT AND ITS LIMIT
- > TEST DISTRIBUTION, OUTPUT, PRICE OR FINANCIAL-STABILITY EFFECTS
- > CONCLUDE WITH A GRADED VERDICT, NOT A TIMELESS NUMBER

Foreign Trade, WTO, FTAs and Protectionism: LIVE-SOURCE, VINTAGE AND EVIDENCE BOUNDARY

The live WTO pages were substantively retrievable. They support stable legal categories and the continuing appellate-review impairment; no tariff rate, trade share, deficit, agreement status or dispute result was imported.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

ASCII MASTER FLOW - PANEL 1/12: Trade transmission rail

BORDER RULE

- > LANDED PRICE + MARKET ACCESS
- > SOURCING + INVESTMENT
- > OUTPUT + JOBS + CONSUMERS

MUST REMEMBER: Trade policy combines tariffs, non-tariff measures, services, rules of...

ASCII MASTER FLOW - PANEL 2/12: Trade-account boundary

MERCHANDISE -> goods crossing borders
SERVICES -> mode-specific supply
TOTAL TRADE -> state included components
CURRENT ACCOUNT -> broader than trade balance

ASCII MASTER FLOW - PANEL 3/12: WTO non-discrimination map

MFN -> treatment across trading partners
NATIONAL TREATMENT -> internal treatment after entry
EXCEPTIONS -> agreement-specific conditions
CUSTOMS DUTY -> border stage

ASCII MASTER FLOW - PANEL 4/12: Tariff space ladder

BOUND RATE -> negotiated ceiling
APPLIED RATE -> rate actually charged
WATER -> gap between the two
CHANGE -> preserve schedule + date

ASCII MASTER FLOW - PANEL 5/12: FTA status and origin chain

NEGOTIATING -> SIGNED -> RATIFIED
-> ENTERED INTO FORCE
PRODUCT COVERAGE + PHASE-DOWN
RULES OF ORIGIN -> preference eligibility

ASCII MASTER FLOW - PANEL 6/12: Creation versus diversion

TRADE CREATION -> lower-cost partner replaces domestic supply
TRADE DIVERSION -> preferred partner displaces cheaper outsider
TEST -> welfare + productivity
DO NOT infer from gross trade alone

ASCII MASTER FLOW - PANEL 7/12: Trade-remedy decision tree

DUMPING + INJURY -> anti-dumping route
SUBSIDY + INJURY -> countervailing route
IMPORT SURGE + SERIOUS INJURY -> safeguard
DGTR FINDING -> not final duty

ASCII MASTER FLOW - PANEL 8/12: TRIMS and TRIPS boundary

TRIMS -> goods-linked investment measures
TRIPS -> minimum IP standards
GATS -> services rules
DOMESTIC LAW -> grant + enforcement

ASCII MASTER FLOW - PANEL 9/12: IGC objective trap

INTERGOVERNMENTAL GRAIN-TRADE BODY
MARKET INFORMATION + COOPERATION
NOT UN RELIEF AGENCY
NOT FCI PROCUREMENT OR PRICE SETTING

ASCII MASTER FLOW - PANEL 10/12: Protection cost cascade

UPSTREAM TARIFF
-> INPUT COST
-> DOWNSTREAM EXPORT PRICE
-> COMPETITIVENESS + CONSUMER EFFECT
CLOSE DISTINCTION: FTA signature is not entry into force or utilisation, tariff binding...

ASCII MASTER FLOW - PANEL 11/12: WTO dispute-settlement status

PANELS CONTINUE
APPELLATE BODY -> no new appeals since Dec 2019
NOTIFIED APPEALS ACCUMULATE
WEAKENED SYSTEM != NO SYSTEM
EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Specify agreement parties, product/service...

ASCII MASTER FLOW - PANEL 12/12: Trade-policy answer spine

DEFINE legal category + status
TRACE value-chain incidence
TEST consumers + firms + workers
CONCLUDE capability + diversification